

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**APPENDIX TO COMPLAINANTS’ CROSS-MOTION FOR AN ORDER TO SHOW
CAUSE AS TO WHY THE COMMISSION SHOULD NOT SUSPEND ERIC JEFFREY,
ESQ. FROM PRACTICING BEFORE THE COMMISSION FOR A PERIOD OF NOT
LESS THAN SIX MONTHS AND AS TO WHY HE SHOULD NOT BE PERSONALLY
REMOVED AS COUNSEL FOR THE RESPONDENTS; AND RESPONSE TO
RESPONDENTS’ MOTION FOR AN ORDER TO SHOW CAUSE WHY THE
COMMISSION SHOULD NOT REVOKE COMPLAINANTS’ COUNSEL’S PRIVILEGE
OF PRACTICING BEFORE THE COMMISSION**

APPENDIX “A” - Affidavit of Michael Hitrinov

APPENDIX “B” - Forensic Report of Jennifer Naso of July 29, 2016

APPENDIX “C” - Undated Signature Page

APPENDIX “A”

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

AFFIRMATION OF MICHAEL HITRINOV

Michael Hitrinov affirms the following to be true and correct under penalty of perjury, and says:

1. I am the President of Respondent Empire United Lines Co., Inc. (“EUL”), and I make this certification in support of Respondents’ motion for judgment on the pleadings, and to provide the Presiding Officer with background and context regarding the transactions at issue.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1993, EUL has met all requirements to be licensed as a non-vessel operating common carrier by the Federal Maritime Commission.

BASIC BACKGROUND

A. The Investment Relationship Between EUL and Global Auto Enterprise

3. In early September 2010, I was contacted by Sergey Kapustin, whom I knew from previous business dealings as the owner and individual in control (together with his wife Irina Kapustina) of Global Auto USA, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., Global Cargo Oy of Finland, and SK Imports, Inc. d/b/a Global Cars (“Global Auto Enterprise”).

4. The purpose of Mr. Kapustin’s call was to inquire whether EUL wanted to invest in the ownership of some vehicles that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a vehicle inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital, which Mr. Kapustin would then use to buy vehicles in the U.S. for resale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the resale of these vehicles.

5. Mr. Kapustin and I initially discussed a profit-sharing arrangement in which EUL and Global Auto Enterprise would divide the profits from the overseas sale of the vehicles acquired by Global Auto Enterprise with EUL’s funds. As the discussions progressed, however, Mr. Kapustin proposed an alternative form of profit-sharing – that EUL be paid a fixed return of 1.5 percent per month on its capital investment as EUL’s share of the anticipated profits from the re-sale of the vehicles acquired through EUL’s investment (“the Investment Vehicles”).

6. The parties ultimately adopted this alternative approach. EUL agreed to invest in the Investment Vehicles, and Global Auto Enterprise agreed in return to pay 1.5 percent per month as an advance of the anticipated profits from the re-sale of the Investment Vehicles. Global Auto Enterprise also agreed that EUL would be entitled to a right of possession regarding

each and every Investment Vehicle, such right to be extinguished only when Global Auto Enterprise met the criteria for release of the vehicle back to Global Auto Enterprise, as described below. Until these Investment Vehicles were authorized to be released, they would be held as collateral by EUL.

7. It was further agreed that EUL would be given the documents of title for each Investment Vehicle, to ensure that no such Vehicle could be released or resold without EUL's consent.

8. Attached as Exhibit 1 is correspondence reflecting the beginning of this relationship between EUL and Global Auto Enterprise. As part of the financial aspect of the arrangement, EUL was entitled to a 60 percent interest in each and every Investment Vehicle. Moreover, Global Auto Enterprise was required to maintain at all times an inventory of Investment Vehicles of sufficient value that 60 percent of the value would meet or exceed the outstanding amount of the investment. If the inventory fell below that level, Global Auto Enterprise was required either to re-pay part of the investment or add value to the inventory sufficient to meet the 60 percent standard.

9. In order to keep track of the balance of funds owed with respect to the Investment Vehicles, the total value of the Investment Vehicles was estimated, and details were maintained in a spreadsheet format by EUL and provided to Global Auto Enterprise on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60 percent of the total value was sufficient to secure the amount of the outstanding principal due EUL.

10. Attached as Exhibit 2 is a series of emails ranging from January 2011 through January 2013, many with spreadsheet attachments, relating to the balance spreadsheets

exchanged between the parties. Although the attached emails are not the totality of the correspondence and balance spreadsheets exchanged between the parties, Exhibit 2 provides a good overview of these exchanges and the manner in which they operated over the course of several years. All the Investment Vehicles were treated as being under Global Auto Enterprise umbrella regardless of which particular “company” the Investment Vehicles were titled under or being shipped on behalf of.

11. Pursuant to this arrangement EUL wired a total of \$450,120 in investment funds to Global Auto USA, Inc.’s accounts as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

12. Attached as Exhibit 3 is documentation of the six payments made to Global Auto Enterprise. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions, e.g., “Car Joint Investment With Fixed Profit” by which I meant my 60 percent investment in the vehicles and the fixed profit of 1.5 percent agreed to by the parties.

B. The Transportation Arrangement In General

13. As part of the above agreement, the parties agreed that EUL, as the majority and secured owner of the Investment Vehicles, would arrange for their ocean transport to Finland. These transportation services were not the ordinary services EUL provided as to various shippers as part of its NVOCC function, but were instead part and parcel of the larger agreement.

Attached as Exhibit 4 is an October 24, 2012 email chain reflecting this understanding. There, EUL told Global Auto Enterprise that a particular vehicle did not qualify as an Investment Vehicle (because not owned by Global Auto Enterprise), and so could not be shipped under the arrangement. Upon learning that the vehicle could not be shipped under the arrangement, Global Auto Enterprise declined to use EUL's NVOCC service, and in fact the vehicle has been returned to Global Auto Enterprise.

14. From EUL's perspective, it was transporting these vehicles, in which it had an equity interest, for its own account as a beneficial cargo owner, and not in its capacity as a licensed ocean transportation intermediary. In light of this understanding, and with the agreement of Global Auto Enterprise, EUL did not issue separate shipping documents (*e.g.* bills of lading) for shipment of the Investment Vehicles. Instead, EUL and Global Auto Enterprise agreed to a flat rate of \$750 for transportation of each of the Investment Vehicles when arranged by EUL and to operate with the master bills of lading issued by the ocean carriers (in this case MSC).

C. How The Transportation Arrangement Worked In Practice

15. The basic practice and course of dealing between EUL and Global Auto Enterprise was as follows:

- Global Auto Enterprise would deliver Investment Vehicles to EUL, which would put them into containers (with other cargo), and deliver them to MSC for water transportation to Kotka, Finland.
- When the MSC vessel arrived in Kotka, the relevant containers were delivered to a warehouse company called CarCont Ltd., which EUL utilized as a container unloading facility, where the Investment Vehicles were removed from their containers for eventual release to Global Auto

Enterprise (specifically, Global Cargo Oy).

- Investment Vehicles could be released in Kotka only upon approval by EUL, based on: (1) an email request by Global Auto Enterprise made by one of the U.S. entities, **and** (ii) compliance with the requirement to maintain the 60 percent valuation standard.
- This latter financial requirement meant that in order to obtain release of a particular Investment Vehicle, Global Auto Enterprise had to repay 60 percent of the value of that Vehicle or, with EUL's consent, augment the inventory of Investment Vehicles in an amount sufficient to retain the overall 60 percent standard.

16. Once the conditions for release were met, EUL would authorize CarCont to release the requested Investment Vehicle. In accordance with the arrangement between EUL and Global Auto Enterprise, at the insistence of Global Auto Enterprise, Investment Vehicles were allowed to be released only to Global Auto Enterprise. In particular, they could be released *only* to Global Auto Enterprise member Global Cargo Oy, which operated a warehouse in Kotka, Finland and is managed by Igor Zadorozhniy, a relative of Irina Kapustina.

17. Prior to taking custody of the vehicles Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

18. As a matter of practice, EUL never had any communications with Global Cargo Oy about the release of any vehicles, the status of shipments, or payments of any charges relating to any shipments. Instead release instructions would only come from the U.S. companies that

were part of Global Auto Enterprise (i.e., G Auto Sales, Inc., Effect Auto Sales, Inc., and Global Auto Sales, Inc.) and the only release instructions ever given for hundreds of vehicles shipped were to release the vehicles to Global Cargo Oy and Igor Zadorozhniy. Moreover, Mr. Kapustin had previously instructed EUL not to discuss any details regarding payments, shipments, etc. with anyone other than the U.S. companies that were part of Global Auto Enterprise.

19. An email dated December 6, 2012 giving an example of how Global Auto Enterprise gave express instructions to release vehicles only to Global Cargo Oy and Igor Zadorozhniy is attached as Exhibit 5. Attached as Exhibit 6 are more general release instructions always indicating release to Global Cargo Oy. Exhibit 7 is a compilation prepared for this proceeding at my direction showing that this same pattern of release instructions was followed for virtually all vehicles ever shipped by Global Auto Enterprise.

20. Once the vehicles were released to Global Cargo Oy and Mr. Zadorozhniy, EUL had no knowledge about what would happen to the vehicles. Overall, between 2010 and 2013, EUL shipped over 680 vehicles pursuant to this course of dealing with Global Auto Enterprise without any complaint. Throughout this period, EUL never had any communications or other dealings with Global Auto Enterprise's customers. EUL's dealings were only with Global Auto Enterprise, and the titles that Global Auto Enterprise provided to EUL for export clearance did not include the names of Global Auto Enterprise's customers.

E. Global Auto Enterprise's Failure to Meet Its Financial Obligations

21. By late 2012 I became increasingly concerned about Global Auto Enterprise's ability, and even willingness, to abide by our agreement. Specifically, I was concerned that Global Auto Enterprise was seeking to avoid repaying any portion of the investment funds.

22. On December 27, 2012, I notified Global Auto Enterprise that the relationship

was becoming untenable because of its actions and demanded that Global Auto Enterprise repay all amounts due EUL “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached as Exhibit 8 are the notices to Global Auto Enterprise.

23. Despite my repeated efforts, payment to EUL was not forthcoming. On or about January 20, 2013, I spoke by telephone with Mr. Kapustin. He confirmed that Global Auto Enterprise no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation of Global Auto Express to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Consequently, on January 28, 2013, I sent an email to Global Auto Enterprise (i) expressing my concern that Global Auto Enterprise was taking actions “detrimental to our jointly owned assets without my knowledge and consent,” and (ii) requesting that Global Auto Enterprise cease any further actions “which may cause irreparable damages” to the parties. Attached as Exhibit 9 is a copy of my January 28, 2013 email.

24. On February 6, 2013, Irina Kapustina (president and 100 percent owner of Effect Auto Sales, Inc. and the ex-wife of Mr. Kapustin) wrote to me acknowledging EUL’s demand for payment in full and that EUL “no longer wants to have an ownership in the cars inventory.” She also acknowledged EUL’s interest in the vehicle inventory, stating “you have them at your disposal.” Attached as Exhibit 10 is Ms. Kapustina’s email together with an English translation.

25. Given Global Auto Enterprise’s repudiation of the agreement, and fearing that they were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that the Investment Vehicles be removed from that location and ultimately sold to third party buyers to satisfy Global Auto Enterprise’s indebtedness to EUL, with the proceeds to be applied to the outstanding principal due EUL and any additional

amounts due EUL for storage.

26. Included among these Investment Vehicles, which were sold to satisfy the debts owed by Global Auto Enterprise, were the vehicles with respect to which Complainants Igor Ovchinnikov, Denis Nekipelov, and Kairat Nurgazinov now assert claims. However, the vehicle as to which Complainant Irina Rzaeva now asserts claims was not sold by EUL. Upon information and belief, that vehicle (a 2011 Jeep Compass with VIN # ending in 2296) remained in the control of CarCont Ltd. in Kotka, Finland through at least January 2015 and was eventually liquidated by CarCont for unpaid storage fees.

FACTS REGARDING THE VEHICLES AT ISSUE

A. Transportation of the Investment Vehicles

27. The Investment Vehicles at issue here went through the very same process as described generally above, at least up to the issue of release. That is:

- Global Auto Enterprise delivered the Investment Vehicles and titles to EUL.
- EUL put the Investment Vehicles into containers and delivered them to MSC.
- MSC transported the containers to Kotka, Finland, where it delivered them to CarCont.
- CarCont decontainerized the Investment Vehicles and awaited release authorization from EUL based on a request and financial compliance by Global Auto Enterprise.

B. Release of these Investment Vehicles

28. As explained above, all Investment Vehicles, including those at issue, were

subject to specific requirements for release. Global Auto Enterprise was required both to request release of the particular vehicle and to meet the financial prerequisites to release – payment of the agreed shipping cost (\$750/unit), and restoration of the 60 percent value by paying that portion of the Investment Vehicle’s value to EUL (or with EUL’s approval, replenishment of the inventory to meet the 60 percent standard).

29. Relevant to the Investment Vehicles at issue, Global Auto Enterprise did neither. They never requested release of any of the four vehicles. And, as explained above, they declined to re-pay EUL the amount required under the arrangement.

30. As also explained above, Investment Vehicles could only be released to Global Cargo Oy. They could not be released to Complainants or anybody else not named Global Cargo Oy that came with a claim of ownership regarding any such vehicle.

31. Moreover, as noted above, prior to taking custody of the vehicles, Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

C. Complainants were Strangers to These Transactions

32. Consistent with the general pattern described above, EUL never had any communications or other dealings with the Complainants. Nor did any of the documents, including the titles, provided by Global Auto Enterprise include the names of the Complainants. Indeed, EUL did not learn Complainants’ identities until well after their vehicles were liquidated as collateral in Finland. I personally also have never had any contact or communications with the Complainants prior to the vehicles being liquidated as collateral in Finland.

33. It is also questionable whether the Complainants have ever paid the Global Auto

Enterprise for the ocean freight and other charges (such as dealer fees etc.) for these shipments. The Complainants have not produced any invoices or other documents showing that Global Auto Enterprise had been paid for the shipping charges associated with transportation of the vehicles.

34. The absence of any relationship is confirmed by the “shipping documents” submitted by both Parties pursuant to the Presiding Officer’s Order of April 27, 2016. As described in more detail in Respondents Motion for Judgment on the Pleadings (and Attachments thereto), which this Affirmation supports:

- The Dock Receipts submitted by both Parties contain no mention of any Complainant.
- The MSC bills of lading (submitted only by Respondents) are likewise devoid of any reference to any Complainant.
- The Titles (submitted for all vehicles by Respondents and three by Complainants) also contain no mention of any Complainant, and indeed show Global Auto Enterprise (Effect Auto Sales, Inc.) as the owner.
- None of the invoices submitted for the transportation services name any of the Complainants.

35. I further note that the “invoices” submitted by Complainants are obviously crude fabrications. As the Presiding Officer can readily confirm:

- The invoices submitted by Respondents are simple, unadorned, emails. This is the precise form in which the invoices left EUL. Respondents are entirely willing to provide the electronic originals of these invoices should the Presiding Officer wish or Counsel for Complainants request.
- The purported invoices submitted by Complainants, in contrast, have been

substantially altered into a composite of multiple origins. As the Presiding Officer may himself verify, the manipulated versions add (i) an unauthorized EUL letterhead, (ii) an invoice number title, (iii) a purported “paid” stamp, and (iv) my private banking information. None of these documents ever left EUL in this fashion.

- Counsel for Complainants has thus far declined to make electronic originals of the shipping documents available. In addition to the obvious implication, Counsel’s claim of attorney-client privilege raises in my mind at least questions of who actually possesses and controls the documents.

36. This is not the first time Counsel for Complainants has submitted these doctored “invoices” to a federal tribunal. As discussed in more detail below, Counsel submitted these very same fabrications in the EDNY lawsuit (as defined in Paragraph 54 below).

D. Complainants’ Discrepant Claims About Ownership

37. I understand that the Complainants in this matter contend that they allegedly purchased vehicles from Global Auto Enterprise, to be delivered to Complainants by Global Auto Enterprise at its facility in Finland (the warehouse operated by Global Cargo Oy). Although, as explained above, such claims are irrelevant in light of the release requirements for Investment Vehicles. I note various discrepancies about the various documents Complainants have used to support their alleged claim of ownership. I emphasize that EUL received none of these “ownership” documents in connection with the transaction, but only as a result of discovery in various after-the-fact proceedings.

38. I have no knowledge about the Complainants or whether or not they were legitimate purchasers of the vehicles from Global Auto Enterprise. As noted below, Global Auto

Enterprise was found by the New Jersey Court to have engaged routinely in fraudulent business practices regarding its purported sales, including selling the same vehicles to multiple “buyers.”

39. A review of the “shipping documents” recently produced by the Complainants to substantiate their status as “buyers” of the vehicles instead reveals a number of questions regarding Complainants’ purported status with respect to these Investment Vehicles. The purpose for noting these questions is not to try the issue of whether Complainants do in fact have ownership interests, but rather to show why, even if permitted by the underlying transportation agreement, no reasonable businessman would release cargo based on such documents.

40. Complainant Igor Ovchinnikov alleged that on August 22, 2012 he purchased a 2009 GMC Acadia (with VIN# ending in 8200) from G Auto Sales, Inc. for \$28,960.00. However, the shipping documents produced (see documents attached as Exhibit 11) show that the initial payments were made with respect to an entirely different vehicle (a 2012 GMC Acadia with VIN# ending in 1860). While the handwriting on the invoice purportedly for the sale of the 2012 GMC Acadia suggests that the funds transferred by Complainant Igor Ovchinnikov may have been applied to the 2009 GMC Acadia, the two invoices actually bear the same invoice number (6779) and the same date of August 22, 2012.

41. The title for this vehicle is also irregular in that it was issued in the name of Effect Auto Sales, Inc., and lists a date of purchase by Effect Auto Sales, Inc. of October 11, 2012, which is consistent with the fact that the vehicle at issue appears to have been delivered to Finland in October 2012. Thus, Complainant Igor Ovchinnikov purports to have purchased in August a vehicle that Global Auto Enterprise did not even possess until months later. See Exhibit 11 at pages 3 and 4.

42. The payment documents provided by Complainant Ovchinnikov raise even more

questions, because they reference a third vehicle (a GMC Acadia with VIN# ending in 5908). See Exhibit 11 at page 5. Further complicating the matter is that Complainant Ovchinnikov produced an undated statement in which he claims that he purchased the vehicle from Global Auto USA, Inc. (contrary to his allegations in the Complaint and the documents showing purchase from G Auto Sales, Inc.). See Exhibit 11 at page 6.

43. Given these numerous discrepancies, even if EUL had received these documents at the time (which it never did) how would EUL be able to rely upon such documents to determine whether Complainant Igor Ovchinnikov had any valid rights with respect to any vehicles?

44. Similarly, although Complainant Irina Rzaeva alleges in the Complaint that she purchased a 2011 Jeep Compass with VIN# ending in 2296 on October 5, 2012 from G Auto Sales, Inc., in a February 4, 2013 letter she sent to the FMC, she asserted that the vehicle was instead purchased from Global Auto USA, Inc. A copy of the February 4, 2013 letter is attached as Exhibit 12. In that same letter she also claimed that Sergey Kapustin signed the invoice through which she purchased the vehicles, but the only invoice produced by her is signed by Michael Goloverya, President of G Auto Sales, Inc. See Exhibit 12 at page 2. Adding to the confusion is the fact that the title for the vehicle lists yet another company – Effect Auto Sales, Inc. – as the owner. See Exhibit 12 at page 3. The payment details for the “purchase” of this vehicle (which show a payment being made to G Auto Sales, Inc.) state in the reference for originating bank instructions that the payment is a “GIFT.” See Exhibit 12 at page 4. Contrast this with the payment details for the purchase of the vehicle submitted by Complainant Denis Nekipelov (Exhibit 14 at page 4) discussed below.

45. Furthermore, Complainant Irina Rzaeva’s allegation that she made a trip to Kotka,

Finland on or about March 12, 2013 “to try to find her vehicle and to file (unsuccessfully) a complaint with the prosecutor’s office in Finland,” is belied by the fact that the Customs office of Kotka, Finland conducted an inspection of CarCont, Ltd. at the request of the Finnish attorneys of Global Auto Enterprise in the Spring of 2013 and were able to confirm the presence of Complainant Irina Rzaeva’s alleged vehicle (as well as Mr. Ovchinnikov’s alleged GMC Acadia). In fact the Customs office report notes that a photograph of the vehicle in question was taken on March 15, 2013. Copies of the report from the Customs office which was produced by Counsel for Complainants (and an English translation of same) are attached as Exhibit 13.

46. Complainant Denis Nekipelov alleges in the Complaint that on October 24, 2012 he purchased a vehicle (a Mercedes-Benz C300 with VIN# ending in 3295) from G Auto Sales, Inc. The title for this vehicle, however, is in an entirely unknown name (Daimler Trust). See Exhibit 14 at page 1. As with the others, Complainant Denis Nekipelov also claimed in a letter that he purchased the vehicle from Global Auto USA, Inc. and that Sergey Kapustin signed his invoice. See Exhibit 14 at page 2. The only invoice produced by Complainant Denis Nekipelov was issued by G Auto Sales, Inc. and signed by Michael Goloverya as President of that company, and the payment documents for the “purchase” of this vehicle show payment being made to G Auto Sales, Inc. See Exhibit 14 at pages 3 and 4. According to the Finnish Customs report attached as Exhibit 13, the vehicle left Finland on February 22, 2013.

47. Finally, this vehicle was explicitly provided by Effect Auto Sales, Inc. to EUL to serve as collateral for the amounts outstanding under the investment/profit sharing arrangement discussed above. A copy of an October 25, 2012 email from Effect Auto Sales, Inc. to EUL regarding this vehicle is attached as Exhibit 15.

48. Complainant Kairat Nurgazinov alleges in the Complaint that on or about

November 29, 2012 he purchased a vehicle (a Toyota Camry with VIN# ending in 6703) from G Auto Sales, Inc. However, the payment details show a payment being made with respect to an entirely different vehicle (a Toyota Camry with VIN# ending in 1494). See documents attached as Exhibit 16. The invoice number referenced in the payment details is 67936 and that reference and the issuance date of November 29, 2012 match an invoice provided by Complainant Kairat Nurgazinov, but the details for the vehicle involved are entirely different. Just as with the vehicle claimed by Complainant Igor Ovchinnikov, there are two different invoices bearing the same number and date but dealing with different vehicles. See Exhibit 16 at pages 2 and 3. There is no evidence produced by Complainant Kairat Nurgazinov that the balance owed of \$2,420.00 for purchase of the vehicle was ever paid to G Auto Sales, Inc.

49. Again the point of all this is that even if EUL had received such documents prior to the sale of the vehicles (which it never had) how could it ever have been reasonable for EUL to release a vehicle to an unknown party with no official standing based on such discrepant and conflicting documents?

50. Incidentally, according to the Finnish Customs report attached as Exhibit 13, this vehicle left Finland (i.e., was sold) on February 6, 2013. It does not appear that Complainant Kairat Nurgazinov contacted CarCont Ltd. with respect to this vehicle until February 23, 2013, at which point that vehicle had already been sold.

51. It should also be noted that none of the Complainants have produced any certificates of sale to support their alleged “purchase” of the vehicles at issue. The State of New Jersey (which is the only state in which Global Auto Enterprise was registered to sell vehicles) requires that all vehicles sold by dealers be documented by a DMV certificate of sale. Since no certificates of sale were provided by Complainants, the ownership of G Auto Sales, Inc. of the

vehicles (who is claimed to have “sold” all the vehicles to the Complainants) is itself in question.

52. In any event, as explained above, Global Auto Enterprise never sent EUL any instructions about these shipments, or otherwise identified the Complainants as its customers with respect to these shipments. More specifically Global Auto Enterprise never asked EUL to release the vehicles that Complainants now make claims with respect to.

ADDITIONAL MATTERS

53. In this section of my Affirmation, I address additional matters that provide further context for the foregoing.

54. As the Presiding Judge is well aware, this is not the first proceeding that Complainants’ counsel has brought (all unsuccessfully) against me (and EUL) in a variety of federal forums regarding the same group of vehicles (or a subset thereof). I briefly recite some of that history, and raise certain concerns arising from that history. In particular, I note, as discussed above, that Complainants’ Counsel has submitted obviously false and fraudulent shipping documents in this matter – and declined to provide electronic originals. I believe that this is consistent with, and in some cases a repeat of, his actions in the prior litigations.

A. Counsel’s First Lawsuit Against EUL Involving the Vehicles

55. In April 2013, Global Auto Enterprise, represented by Complainants’ Counsel, commenced a lawsuit against EUL and me in the United States District Court for the Eastern District of New York, captioned as 13 Civ. 2479 (the “EDNY lawsuit”).

56. In the EDNY lawsuit, Global Auto Enterprise, through Complainants’ Counsel and his colleagues, filed false and misleading declarations in which the principals of various constituents of Global Auto Enterprise denied the existence of any investment or profit sharing arrangement involving EUL. Attached as Exhibit 17 is a letter addressed by counsel for Global

Auto Enterprise to its customers, repeating the same false denials of any relationship between Global Auto Enterprise and EUL.

57. Global Auto Enterprise, through Complainants Counsel, also submitted and relied upon thirty-two fabricated documents that were made to look as if they were EUL “invoices” for freight payments relating to shipments of vehicles. Attached as Exhibit 18 are three of these forged “invoices” which were relied upon by Global Auto Enterprise in the EDNY lawsuit and which reference the vehicles as to which the Complainants now assert claims.

58. In March 2015, after having served as counsel to Global Auto Enterprise for two years with respect to the dispute over these vehicles (including the vehicles over which Complainants now assert claims with respect to), Complainants’ Counsel requested and was granted leave to withdraw as counsel for Global Auto Enterprise, on the basis of alleged non-payment of fees and that he had been “fired.”

59. It is my belief, however, that Complainants’ Counsel continued to serve behind the scenes as an attorney for Global Auto Enterprise. It is otherwise difficult to reconcile Counsel’s purported firing with the attached Exhibit 19, a September 28, 2015 email from Counsel to Mr. Kapustin offering to continue representing Global Auto Enterprise in the EDNY lawsuit on a “pro bono” basis.

60. In the end, the Judge saw through these false declarations and the fabricated EUL “invoices” and denied any relief to Global Auto Enterprise in the EDNY lawsuit. In late September 2015 all claims asserted by Global Auto Enterprise against EUL and me were dismissed, and EUL was granted a default on our counterclaim against Global Auto Enterprise.

61. These “invoices” were found in draft form on Mr. Kapustin’s personal computer and he “took the Fifth Amendment” when asked questions about how the invoices were created.

62. Remarkably, despite the foregoing, Complainants' Counsel persists in putting forth the same fabricated documents, and to deny any request for the electronic originals.

B. Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.

63. In the proceeding before this Commission docketed as *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16, Complainants' Counsel represented other complainants who asserted time barred and already-released claims against EUL and me. In an attempt to overcome the obvious time bar Complainants' Counsel there presented to the Commission and relied upon a so-called audit, which he asserted was prepared by an employee of the complainants on July 14, 2014.

64. In a related proceeding brought by EUL against Baltic Auto Shipping, Inc. and its principal in the United States District Court for the District of New Jersey (captioned as 15 Civ. 355) for breach of a prior settlement agreement, discovery showed that this claim was untrue.

65. Baltic Auto Shipping, Inc. was directed by the Judge in that case to produce the original signed audit and the original native electronic drafts of the audit. Baltic failed to do so. Instead, the principal of Baltic signed a certification asserting a "dog ate my homework" type of defense, saying that the audit was prepared on a laptop computer (from which no electronic copies were ever made or emailed) that was conveniently infected by a virus, one month after the audit was allegedly prepared, requiring reformatting of the hard drive. The laptop was then supposedly disposed of a few months later and thus conveniently not unavailable for forensic analysis. A copy of the Declaration of Andrejus Presniakovas is attached as Exhibit 20.¹

66. When Complainants' Counsel was ordered to produce the original signed copy of the audit (which he had repeatedly represented to the Court was in his office) for examination by

¹ Mr. Presniakovas had previously submitted a similar affidavit to the Commission on April 3, 2015, and a copy of that affidavit is also attached as part of Exhibit 20.

a forensic expert, he instead produced only an obvious and poor quality photocopy. A copy of the report prepared by the forensic expert establishing that only an obvious and poor quality photocopy of the audit was made available for inspection is attached as Exhibit 21.

67. When pressed to explain what had happened to the original signed copy of the audit, Complainants Counsel reversed course, denying any knowledge of its whereabouts and offering a “guess” that “it is more than likely that” the original was inadvertently sent to the FMC for filing. A copy of the “explanatory” certification from Complainants’ Counsel regarding the location of the original signed audit is attached as Exhibit 22.

68. Not satisfied by this response, the Court pressed for further explanation. Complainants’ Counsel then speculated that his assistant, whom he refused to name, had sent the original signed copy of the audit to the FMC for filing. The FMC’s Docket Activity Librarian, however, confirmed to the contrary that no such original was in the FMC’s possession. A copy of the confirmation from the FMC that all it possessed was “a photocopy based on the poor clarity of the print” is attached as Exhibit 23.

69. The Court ultimately forced Complainants’ Counsel to disclose the identity of his assistant and provide an affidavit from her (see copy attached as Exhibit 24). But when the Court then directed Complainants’ Counsel to produce his assistant for deposition regarding her “affidavit” and the fate of the original signed audit, Complainants’ Counsel did yet another about-face. He now claimed that his “assistant” was actually just an unpaid legal intern no longer employed by him, and that he had no mailing address, telephone number, or email address for her and thus, could not provide any last known contact details or produce her for the court-ordered deposition.

70. This pattern of apparent deception is starting to repeat itself in this proceeding, as

evidenced by the resurfacing of the doctored “invoices” and the other discrepancies in the shipping documents pointed out above. It is for these reasons that I have, through counsel, requested Complainants’ Counsel to provide the original and native electronic files for all the shipping documents, a request I will make formally once the discovery schedule has been set by the Presiding Officer.

C. Global Auto Enterprise has been Determined to be a Single, Fraudulent Enterprise

71. As the Presiding Officer knows from prior filings in these consolidated proceedings, Global Auto Enterprise has been held by the United States District Court for the District of New Jersey to be a single enterprise engaged in RICO violations and fraud. 13 Civ. 7152 (the “DNJ lawsuit”).

72. In the DNJ lawsuit, defrauded customers of Global Auto Enterprise obtained a \$2.3 million Judgment against Mr. Kapustin, G Auto Sales, Inc., Global Auto Sales, Inc., Effect Auto Sales, Inc., SK Imports, Inc., Global Cargo Oy, and Igor Zadorozhniy (all members of Global Auto Enterprise). The Court found them all part of a RICO conspiracy that had engaged in mail and wire fraud and “bait-and-switch” fraudulent practices and consumer fraud from at least 2008 through February 2014. A copy of the Judgment, which was issued in September 2015, is attached as Exhibit 25.²

73. The Judgment describes some of the specific racketeering conduct of Global Auto Enterprise in targeting online unsophisticated foreigners from the former Soviet Union and other countries as follows:

- Advertised and “sold” cars were not in [Global Auto Enterprise’s]

² At least two other Judgments were entered against Mr. Kapustin and other members of the Global Auto Enterprise during this same period based on the Global Auto Enterprise’s fraudulent business practices. See November 10, 2014 judgment issued by New Jersey Superior Court, Union County (in a case captioned as *DK International, Inc. v. Kapustina et al.*, L-1577-11), and June 29, 2015 decision issued by New Jersey Superior Court, Union County (in a case captioned as *Izbastin v. Global Auto, Inc. et al.*, L-0514-13), copies of which are attached as Exhibit 26.

possession and often already owned by unrelated third parties at the time of the “sale.”

- Once the customer wired the money, [Global Auto Enterprise] failed to deliver the pre-paid vehicles, and refused to issue any refunds. [Global Auto Enterprise] then offered customers different cars, for a higher price, thus extorting further payments.
- Even on the “switch” vehicles that were ultimately (sometimes after 6-8 months from first wire), sent to Global Auto Enterprise’s warehouse in Finland, Global Auto Enterprise refused to “release” vehicles and charged hidden fees, misrepresented odometer readings, withheld the information that the vehicle had been declared a “total loss” after an accident or had been flooded by hurricane Sandy (with a “salvage” title issued).

See Exhibit 25 at page 8.

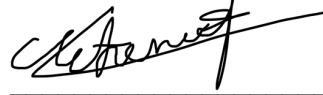
74. As especially relevant here, the Judge in the DNJ lawsuit also found that Global Auto Enterprise had repeatedly “sold” the same vehicles to more than one customer:

THE COURT: Mr. Kapustin seems to think that it's okay to sell something he doesn't own and keep the proceeds. I don't know that I've ever seen more remarkable conduct or admissions in a court of law. He has sold cars that were subject to control by the Eastern District of New York [where Complainants' Counsel represented Global Auto Enterprise], and apparently selling them, selling the same car twice, and it's fully consistent with the other transactions that have been demonstrated to this Court.

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June __, 2016

A handwritten signature in black ink, appearing to read "Michael Hitrinov", written over a horizontal line.

Michael Hitrinov

APPENDIX “B”

Thomas P. Riley, B.S., *, **
Forensic Document Examiner
Michigan

Gerald M. LaPorte, M.S.F.S., **, ***
Forensic Chemist & Document Specialist
Virginia

Lisa Hanson, B.S., *, **
Forensic Document Examiner
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Robert May, B.S.
Latent Print Examiner
Michigan

Jeffrey Nye, M.S.
Forensic DNA Analyst
Michigan

LABORATORY REPORT

July 29, 2016

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370

RE: *Michael Hitrinov Matter*

Dear Mr. Nussbaum:

The evidence listed as Q1 and K1 was received from Mr. Marcus Nussbaum on 7/13/16 via email.

The evidence contained pdf images of the following:

Questioned document:

Q1 – One (1) twenty-three page Federal Maritime Commission document titled, "Affirmation of Michael Hitrinov", docket no. 15-11, with the date reading, "June __2016", bearing the questioned signature reading, "Michael Hitrinov".

Comparison documents:

K1-1 – One (1) nine-page Settlement Agreement and Mutual Release, dated 11/29/11, bearing two purported known signatures of Michael Hitrinov.

K1-2 – One (1) sixteen-page document titled, "DECLARATION OF MICHAEL HITRINOV IN RESPONSE TO ORDER TO SHOW CAUSE AN IN OPPOSITION TO REQUEST FOR PRELIMINARY INJUNCTION", dated 5/23/13, no. 13-CV-2479 (SLT)(RER), bearing the purported known signature of Michael Hitrinov.

K1-3 – One (1) two-page Federal Maritime Commission document titled, "CERTIFICATION OF MICHAEL HITRINOV", docket no. 14-16, dated 5/26/15, bearing the purported known signature of Michael Hitrinov.

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Marcus Nussbaum

July 29, 2016

Page 2 of 6

Comparison documents (continued):

K1-4 – One (1) ten-page Federal Maritime Commission document titled, "VERIFIED ANSWER OF RESPONDENTS EMPIRE UNITED LINE AND MICHAEL HITRINOV", docket no. 15-11, dated 5/19/16, bearing the purported known signature of Michael Hitrinov.

Examination Requests:

To determine whether or not Michael Hitrinov (K1) wrote the questioned signature appearing on Q1.

Writing Examinations:

Writing can be identified with the person who wrote it. A person can also be eliminated, or excluded, from having written something. Learning to write usually involves practicing letter formations, learning to copy these forms and committing them to memory, along with developing the skill, pen in hand, to write these forms quickly and fluidly. Practice usually increases the writer's skill¹ and produces writing that becomes more rapidly written, as the focus shifts more to the message being written than the physical movements of the writing act itself. This practiced movement becomes more fluid as this movement is committed to memory. This fluid movement of the pen creates physical characteristics of writing on the paper surface and observable features of the act of writing.

Writing consists of both class and individual characteristics. Class characteristics are common to large groups of writers and, in general, make writing similar enough for it to be understood by many. Examples of these characteristics may be the actual letter forms, or other features produced by large numbers of writers. Individual characteristics tend to be more identifying. It is the presence of the features found in both groups of characteristics, when considered and weighed in combination, that provides a basis for the determination of the genuineness of writing.

The identification or elimination of writing is dependent upon a large number of factors. These factors include, but are not limited to, whether the writing in question is freely and naturally written, whether the questioned and known writing are comparable in nature and date, if sufficient known and questioned writing is provided, as well as whether sufficient known samples are provided for comparison purposes which demonstrate an appropriate range of variation of the known writer's habits.

Some of these physical characteristics are visible to the unaided eye, however using a microscope to view the written line with magnification allows the forensic document

¹ "Writing is the result of a very complex series of acts, being as a whole a combination of certain forms which are the visible result of mental and muscular habits acquired by long continued, painstaking effort." Questioned Documents (Second Edition) by Albert S. Osborn, Chapter XVII, pp. 276.

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Writing Examinations (continued):

examiner to carefully study and weigh the finer characteristics; the physical evidence of the movement of the pen on the paper surface.

Range of Opinions:

Often, a forensic document examiner is able to offer conclusive, unqualified opinions of identification or elimination of writing. At other times, a myriad of factors can contribute to a forensic document examiner being unable to render a conclusive opinion. For example, the questioned writing may be of poor quality, limited in nature, or the available known writing samples may be limited, not comparable to the writing in question, or they may be intentionally distorted or disguised. In such cases, positive opinions of identification or elimination may not be possible.

In the event that the weight and significance of the evidence does not support a positive identification or elimination, forensic document examiners determine what level the weight and significance the evidence supports. Opinions are then expressed on a scale, or range of opinions, from indications wrote (or indications did not write), probably wrote (or probably did not write), to highly probable wrote (or highly probable did not write). At times, the only opinion which can be offered is an inconclusive. An understanding of this range of opinions² and the reasoning for "qualified opinions" is necessary when reviewing the results of any writing examination.

Image Files/Photocopies:

The examination of image files and photocopies in lieu of original documents, requires a forensic document examiner to offer a qualified opinion. This means *the opinion offered is based on the evidence discerned from the images/copies*.

The imaging/photocopy process can cause loss of detail. A number of other factors may affect the quality of the image/copy, such as: the type and condition of scanner/copy machine, the settings used, whether the original or some generation of copy is used (other than directly from the original). All of these factors may impede the ability of the examiner to reach a positive conclusion.

Also, evidence of fraud or non-genuineness may be revealed in the examination of an original document which cannot be seen in the image/copy. The following opinions are based on the examination of image files (non-originals).

² The SWGDOC standard Standard Terminology for Expressing Conclusions of Forensic Document Examiners can be found at the web link: <http://www.swgdoc.org/index.php/standards/published-standards>.

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Examinations Conducted:

Visual examinations of writing³ along with imaging techniques.

Basis of Examinations:

I performed examinations and comparisons using widely accepted procedures. As part of my examinations, I also rely, in part, on numerous published standards distributed by the Scientific Working Group for Forensic Document Examiners (SWGDOC)⁴. My examinations and comparisons relied, in part, on the following standards, which can be found at the following web link:

<http://www.swgdoc.org/index.php/standards/published-standards>

- SWGDOC Standard for Scope of Work of Forensic Document Examiners
- SWGDOC Standard for Examination of Handwritten Items
- SWGDOC Standard for Examination of Altered Documents
- SWGDOC Standard Terminology for Expressing Conclusions of Forensic Document Examiners

Handwriting Observations:

The Q1 document is a good quality image. The signature is stylized and the pen pressure appears to be consistent with dark contrast throughout the signature. There are areas of the signature which appear to show deliberateness and hesitation and there lacks tapering beginning and ending strokes. These characteristics are commonly associated with tracings or simulated forgeries.

The purported known signatures of Michael Hitrinov are of varying levels of quality and represent two different signature styles. The signatures appear to be freely and naturally written, with tapered beginning and ending strokes and there does not appear to be evidence of hesitation or deliberateness.

A side-by-side comparison was conducted between the questioned signature appearing on Q1 and the K1 signatures samples. The K1-1 signatures were not comparable as they exhibited a different signature style than that of the Q1 signature. The K1-2 through K1-4 signatures exhibited similar signature styles and therefore were comparable to the Q1 signature. The lack of comparable known samples is a limiting factor in this examination.

While the signatures are pictorially similar, there were numerous dissimilarities noted. These include the overall size of the signature, the fluidity of the written line, the **Marcus**

³ The SWGDOC "Standard Guide for Examination of Handwriting Items," can be found at the web link: :

<http://www.swgdoc.org/index.php/standards/published-standards>

⁴ The SWGDOC standards can be found at the web link: <http://www.swgdoc.org/index.php/standards/published-standards>

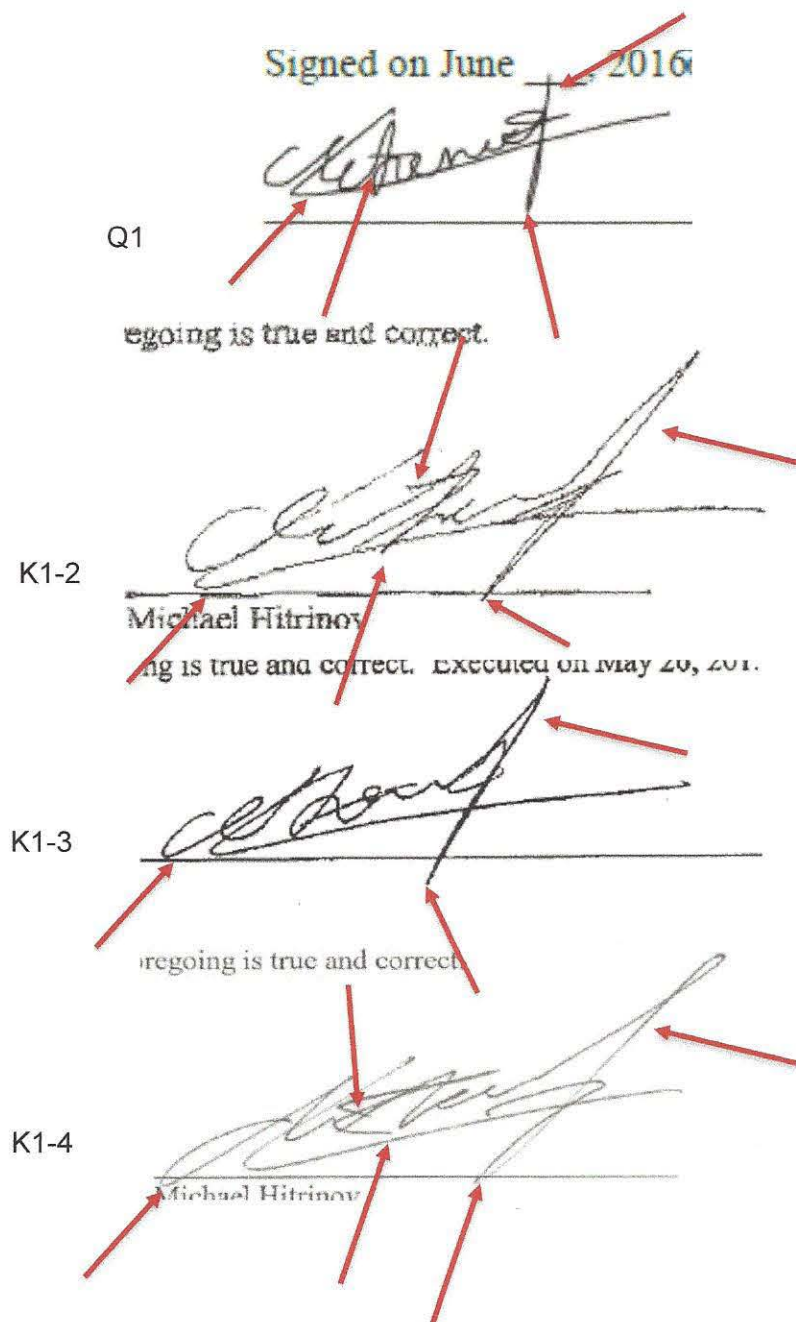
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Handwriting Observations (continued):

relationship to the baseline, the height of the terminal upper extension, and the areas of pen lifts. (See images, with red arrows representing dissimilarities.)



Marcus Nussbaum

July 29, 2016

Page 6 of 6

Results of Examination:

Upon examination of the questioned signature appearing on Q1 with the known signatures of Michael Hitrinov, the evidence revealed some pictorial similarity. However, there are numerous significant dissimilarities noted. These dissimilarities along with the deliberate nature of the Q1 signature lead to the conclusion that it is highly probable that Michael Hitrinov did not write the questioned signature appearing on Q1, but rather appears to be an attempt by someone to simulate or trace his natural signature style. Submission of the original document could assist in determining whether the signature is in fact a simulation or tracing.

The examinations and conclusions presented herein are based on the evidence available at this time. I reserve the right to rely upon additional discovery that occurs after this report is submitted. To the extent additional evidence becomes available relevant to the opinions expressed in this report, I will update my opinions as appropriate.

Demonstratives:

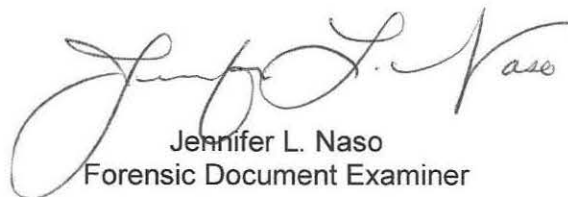
I reserve the right to rely on visual aids or demonstratives not present in this report to demonstrate my opinions at trial.

Remarks:

Thorough examinations were performed on the questioned document. Digital images/charts were likewise prepared from these documents. These images, when enhanced, allow for certain critical observations to be made. They also provide a very strong approach for demonstrating the evidence to a Trier of fact and can best be illustrated through use of a multi-media presentation.

Very truly yours,

RILEY WELCH LAPORTE & ASSOCIATES
FORENSIC LABORATORIES



Jennifer L. Naso
Forensic Document Examiner

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Q1

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

AFFIRMATION OF MICHAEL HITRINOV

Michael Hitrinov affirms the following to be true and correct under penalty of perjury, and says:

1. I am the President of Respondent Empire United Lines Co., Inc. (“EUL”), and I make this certification in support of Respondents’ motion for judgment on the pleadings, and to provide the Presiding Officer with background and context regarding the transactions at issue.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1993, EUL has met all requirements to be licensed as a non-vessel operating common carrier by the Federal Maritime Commission.

BASIC BACKGROUND

A. The Investment Relationship Between EUL and Global Auto Enterprise

3. In early September 2010, I was contacted by Sergey Kapustin, whom I knew from previous business dealings as the owner and individual in control (together with his wife Irina Kapustina) of Global Auto USA, Inc., Effect Auto Sales, Inc., G Auto Sales, Inc., Global Cargo Oy of Finland, and SK Imports, Inc. d/b/a Global Cars (“Global Auto Enterprise”).

4. The purpose of Mr. Kapustin’s call was to inquire whether EUL wanted to invest in the ownership of some vehicles that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a vehicle inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital, which Mr. Kapustin would then use to buy vehicles in the U.S. for resale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the resale of these vehicles.

5. Mr. Kapustin and I initially discussed a profit-sharing arrangement in which EUL and Global Auto Enterprise would divide the profits from the overseas sale of the vehicles acquired by Global Auto Enterprise with EUL’s funds. As the discussions progressed, however, Mr. Kapustin proposed an alternative form of profit-sharing – that EUL be paid a fixed return of 1.5 percent per month on its capital investment as EUL’s share of the anticipated profits from the re-sale of the vehicles acquired through EUL’s investment (“the Investment Vehicles”).

6. The parties ultimately adopted this alternative approach. EUL agreed to invest in the Investment Vehicles, and Global Auto Enterprise agreed in return to pay 1.5 percent per month as an advance of the anticipated profits from the re-sale of the Investment Vehicles. Global Auto Enterprise also agreed that EUL would be entitled to a right of possession regarding

each and every Investment Vehicle, such right to be extinguished only when Global Auto Enterprise met the criteria for release of the vehicle back to Global Auto Enterprise, as described below. Until these Investment Vehicles were authorized to be released, they would be held as collateral by EUL.

7. It was further agreed that EUL would be given the documents of title for each Investment Vehicle, to ensure that no such Vehicle could be released or resold without EUL's consent.

8. Attached as Exhibit 1 is correspondence reflecting the beginning of this relationship between EUL and Global Auto Enterprise. As part of the financial aspect of the arrangement, EUL was entitled to a 60 percent interest in each and every Investment Vehicle. Moreover, Global Auto Enterprise was required to maintain at all times an inventory of Investment Vehicles of sufficient value that 60 percent of the value would meet or exceed the outstanding amount of the investment. If the inventory fell below that level, Global Auto Enterprise was required either to re-pay part of the investment or add value to the inventory sufficient to meet the 60 percent standard.

9. In order to keep track of the balance of funds owed with respect to the Investment Vehicles, the total value of the Investment Vehicles was estimated, and details were maintained in a spreadsheet format by EUL and provided to Global Auto Enterprise on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60 percent of the total value was sufficient to secure the amount of the outstanding principal due EUL.

10. Attached as Exhibit 2 is a series of emails ranging from January 2011 through January 2013, many with spreadsheet attachments, relating to the balance spreadsheets

exchanged between the parties. Although the attached emails are not the totality of the correspondence and balance spreadsheets exchanged between the parties, Exhibit 2 provides a good overview of these exchanges and the manner in which they operated over the course of several years. All the Investment Vehicles were treated as being under Global Auto Enterprise umbrella regardless of which particular “company” the Investment Vehicles were titled under or being shipped on behalf of.

11. Pursuant to this arrangement EUL wired a total of \$450,120 in investment funds to Global Auto USA, Inc.’s accounts as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

12. Attached as Exhibit 3 is documentation of the six payments made to Global Auto Enterprise. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions, e.g., “Car Joint Investment With Fixed Profit” by which I meant my 60 percent investment in the vehicles and the fixed profit of 1.5 percent agreed to by the parties.

B. The Transportation Arrangement In General

13. As part of the above agreement, the parties agreed that EUL, as the majority and secured owner of the Investment Vehicles, would arrange for their ocean transport to Finland. These transportation services were not the ordinary services EUL provided as to various shippers as part of its NVOCC function, but were instead part and parcel of the larger agreement.

Attached as Exhibit 4 is an October 24, 2012 email chain reflecting this understanding. There, EUL told Global Auto Enterprise that a particular vehicle did not qualify as an Investment Vehicle (because not owned by Global Auto Enterprise), and so could not be shipped under the arrangement. Upon learning that the vehicle could not be shipped under the arrangement, Global Auto Enterprise declined to use EUL's NVOCC service, and in fact the vehicle has been returned to Global Auto Enterprise.

14. From EUL's perspective, it was transporting these vehicles, in which it had an equity interest, for its own account as a beneficial cargo owner, and not in its capacity as a licensed ocean transportation intermediary. In light of this understanding, and with the agreement of Global Auto Enterprise, EUL did not issue separate shipping documents (*e.g.* bills of lading) for shipment of the Investment Vehicles. Instead, EUL and Global Auto Enterprise agreed to a flat rate of \$750 for transportation of each of the Investment Vehicles when arranged by EUL and to operate with the master bills of lading issued by the ocean carriers (in this case MSC).

C. How The Transportation Arrangement Worked In Practice

15. The basic practice and course of dealing between EUL and Global Auto Enterprise was as follows:

- Global Auto Enterprise would deliver Investment Vehicles to EUL, which would put them into containers (with other cargo), and deliver them to MSC for water transportation to Kotka, Finland.
- When the MSC vessel arrived in Kotka, the relevant containers were delivered to a warehouse company called CarCont Ltd., which EUL utilized as a container unloading facility, where the Investment Vehicles were removed from their containers for eventual release to Global Auto

Enterprise (specifically, Global Cargo Oy).

- Investment Vehicles could be released in Kotka only upon approval by EUL, based on: (1) an email request by Global Auto Enterprise made by one of the U.S. entities, **and** (ii) compliance with the requirement to maintain the 60 percent valuation standard.
- This latter financial requirement meant that in order to obtain release of a particular Investment Vehicle, Global Auto Enterprise had to repay 60 percent of the value of that Vehicle or, with EUL's consent, augment the inventory of Investment Vehicles in an amount sufficient to retain the overall 60 percent standard.

16. Once the conditions for release were met, EUL would authorize CarCont to release the requested Investment Vehicle. In accordance with the arrangement between EUL and Global Auto Enterprise, at the insistence of Global Auto Enterprise, Investment Vehicles were allowed to be released only to Global Auto Enterprise. In particular, they could be released *only* to Global Auto Enterprise member Global Cargo Oy, which operated a warehouse in Kotka, Finland and is managed by Igor Zadorozhniy, a relative of Irina Kapustina.

17. Prior to taking custody of the vehicles Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

18. As a matter of practice, EUL never had any communications with Global Cargo Oy about the release of any vehicles, the status of shipments, or payments of any charges relating to any shipments. Instead release instructions would only come from the U.S. companies that

were part of Global Auto Enterprise (i.e., G Auto Sales, Inc., Effect Auto Sales, Inc., and Global Auto Sales, Inc.) and the only release instructions ever given for hundreds of vehicles shipped were to release the vehicles to Global Cargo Oy and Igor Zadorozhniy. Moreover, Mr. Kapustin had previously instructed EUL not to discuss any details regarding payments, shipments, etc. with anyone other than the U.S. companies that were part of Global Auto Enterprise.

19. An email dated December 6, 2012 giving an example of how Global Auto Enterprise gave express instructions to release vehicles only to Global Cargo Oy and Igor Zadorozhniy is attached as Exhibit 5. Attached as Exhibit 6 are more general release instructions always indicating release to Global Cargo Oy. Exhibit 7 is a compilation prepared for this proceeding at my direction showing that this same pattern of release instructions was followed for virtually all vehicles ever shipped by Global Auto Enterprise.

20. Once the vehicles were released to Global Cargo Oy and Mr. Zadorozhniy, EUL had no knowledge about what would happen to the vehicles. Overall, between 2010 and 2013, EUL shipped over 680 vehicles pursuant to this course of dealing with Global Auto Enterprise without any complaint. Throughout this period, EUL never had any communications or other dealings with Global Auto Enterprise's customers. EUL's dealings were only with Global Auto Enterprise, and the titles that Global Auto Enterprise provided to EUL for export clearance did not include the names of Global Auto Enterprise's customers.

E. Global Auto Enterprise's Failure to Meet Its Financial Obligations

21. By late 2012 I became increasingly concerned about Global Auto Enterprise's ability, and even willingness, to abide by our agreement. Specifically, I was concerned that Global Auto Enterprise was seeking to avoid repaying any portion of the investment funds.

22. On December 27, 2012, I notified Global Auto Enterprise that the relationship

was becoming untenable because of its actions and demanded that Global Auto Enterprise repay all amounts due EUL “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached as Exhibit 8 are the notices to Global Auto Enterprise.

23. Despite my repeated efforts, payment to EUL was not forthcoming. On or about January 20, 2013, I spoke by telephone with Mr. Kapustin. He confirmed that Global Auto Enterprise no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation of Global Auto Express to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Consequently, on January 28, 2013, I sent an email to Global Auto Enterprise (i) expressing my concern that Global Auto Enterprise was taking actions “detrimental to our jointly owned assets without my knowledge and consent,” and (ii) requesting that Global Auto Enterprise cease any further actions “which may cause irreparable damages” to the parties. Attached as Exhibit 9 is a copy of my January 28, 2013 email.

24. On February 6, 2013, Irina Kapustina (president and 100 percent owner of Effect Auto Sales, Inc. and the ex-wife of Mr. Kapustin) wrote to me acknowledging EUL’s demand for payment in full and that EUL “no longer wants to have an ownership in the cars inventory.” She also acknowledged EUL’s interest in the vehicle inventory, stating “you have them at your disposal.” Attached as Exhibit 10 is Ms. Kapustina’s email together with an English translation.

25. Given Global Auto Enterprise’s repudiation of the agreement, and fearing that they were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that the Investment Vehicles be removed from that location and ultimately sold to third party buyers to satisfy Global Auto Enterprise’s indebtedness to EUL, with the proceeds to be applied to the outstanding principal due EUL and any additional

amounts due EUL for storage.

26. Included among these Investment Vehicles, which were sold to satisfy the debts owed by Global Auto Enterprise, were the vehicles with respect to which Complainants Igor Ovchinnikov, Denis Nekipelov, and Kairat Nurgazinov now assert claims. However, the vehicle as to which Complainant Irina Rzaeva now asserts claims was not sold by EUL. Upon information and belief, that vehicle (a 2011 Jeep Compass with VIN # ending in 2296) remained in the control of CarCont Ltd. in Kotka, Finland through at least January 2015 and was eventually liquidated by CarCont for unpaid storage fees.

FACTS REGARDING THE VEHICLES AT ISSUE

A. Transportation of the Investment Vehicles

27. The Investment Vehicles at issue here went through the very same process as described generally above, at least up to the issue of release. That is:

- Global Auto Enterprise delivered the Investment Vehicles and titles to EUL.
- EUL put the Investment Vehicles into containers and delivered them to MSC.
- MSC transported the containers to Kotka, Finland, where it delivered them to CarCont.
- CarCont decontainerized the Investment Vehicles and awaited release authorization from EUL based on a request and financial compliance by Global Auto Enterprise.

B. Release of these Investment Vehicles

28. As explained above, all Investment Vehicles, including those at issue, were

subject to specific requirements for release. Global Auto Enterprise was required both to request release of the particular vehicle and to meet the financial prerequisites to release – payment of the agreed shipping cost (\$750/unit), and restoration of the 60 percent value by paying that portion of the Investment Vehicle’s value to EUL (or with EUL’s approval, replenishment of the inventory to meet the 60 percent standard).

29. Relevant to the Investment Vehicles at issue, Global Auto Enterprise did neither. They never requested release of any of the four vehicles. And, as explained above, they declined to re-pay EUL the amount required under the arrangement.

30. As also explained above, Investment Vehicles could only be released to Global Cargo Oy. They could not be released to Complainants or anybody else not named Global Cargo Oy that came with a claim of ownership regarding any such vehicle.

31. Moreover, as noted above, prior to taking custody of the vehicles, Global Cargo Oy also paid CarCont, via bank transfer, the cost of unloading the cars from the containers and for the storage of the cars at CarCont. CarCont never received payment for the unloading and storage of the Investment Vehicles from anyone other than Global Cargo Oy.

C. Complainants were Strangers to These Transactions

32. Consistent with the general pattern described above, EUL never had any communications or other dealings with the Complainants. Nor did any of the documents, including the titles, provided by Global Auto Enterprise include the names of the Complainants. Indeed, EUL did not learn Complainants’ identities until well after their vehicles were liquidated as collateral in Finland. I personally also have never had any contact or communications with the Complainants prior to the vehicles being liquidated as collateral in Finland.

33. It is also questionable whether the Complainants have ever paid the Global Auto

Enterprise for the ocean freight and other charges (such as dealer fees etc.) for these shipments. The Complainants have not produced any invoices or other documents showing that Global Auto Enterprise had been paid for the shipping charges associated with transportation of the vehicles.

34. The absence of any relationship is confirmed by the “shipping documents” submitted by both Parties pursuant to the Presiding Officer’s Order of April 27, 2016. As described in more detail in Respondents Motion for Judgment on the Pleadings (and Attachments thereto), which this Affirmation supports:

- The Dock Receipts submitted by both Parties contain no mention of any Complainant.
- The MSC bills of lading (submitted only by Respondents) are likewise devoid of any reference to any Complainant.
- The Titles (submitted for all vehicles by Respondents and three by Complainants) also contain no mention of any Complainant, and indeed show Global Auto Enterprise (Effect Auto Sales, Inc.) as the owner.
- None of the invoices submitted for the transportation services name any of the Complainants.

35. I further note that the “invoices” submitted by Complainants are obviously crude fabrications. As the Presiding Officer can readily confirm:

- The invoices submitted by Respondents are simple, unadorned, emails. This is the precise form in which the invoices left EUL. Respondents are entirely willing to provide the electronic originals of these invoices should the Presiding Officer wish or Counsel for Complainants request.
- The purported invoices submitted by Complainants, in contrast, have been

substantially altered into a composite of multiple origins. As the Presiding Officer may himself verify, the manipulated versions add (i) an unauthorized EUL letterhead, (ii) an invoice number title, (iii) a purported “paid” stamp, and (iv) my private banking information. None of these documents ever left EUL in this fashion.

- Counsel for Complainants has thus far declined to make electronic originals of the shipping documents available. In addition to the obvious implication, Counsel’s claim of attorney-client privilege raises in my mind at least questions of who actually possesses and controls the documents.

36. This is not the first time Counsel for Complainants has submitted these doctored “invoices” to a federal tribunal. As discussed in more detail below, Counsel submitted these very same fabrications in the EDNY lawsuit (as defined in Paragraph 54 below).

D. Complainants’ Discrepant Claims About Ownership

37. I understand that the Complainants in this matter contend that they allegedly purchased vehicles from Global Auto Enterprise, to be delivered to Complainants by Global Auto Enterprise at its facility in Finland (the warehouse operated by Global Cargo Oy). Although, as explained above, such claims are irrelevant in light of the release requirements for Investment Vehicles. I note various discrepancies about the various documents Complainants have used to support their alleged claim of ownership. I emphasize that EUL received none of these “ownership” documents in connection with the transaction, but only as a result of discovery in various after-the-fact proceedings.

38. I have no knowledge about the Complainants or whether or not they were legitimate purchasers of the vehicles from Global Auto Enterprise. As noted below, Global Auto

Enterprise was found by the New Jersey Court to have engaged routinely in fraudulent business practices regarding its purported sales, including selling the same vehicles to multiple “buyers.”

39. A review of the “shipping documents” recently produced by the Complainants to substantiate their status as “buyers” of the vehicles instead reveals a number of questions regarding Complainants’ purported status with respect to these Investment Vehicles. The purpose for noting these questions is not to try the issue of whether Complainants do in fact have ownership interests, but rather to show why, even if permitted by the underlying transportation agreement, no reasonable businessman would release cargo based on such documents.

40. Complainant Igor Ovchinnikov alleged that on August 22, 2012 he purchased a 2009 GMC Acadia (with VIN# ending in 8200) from G Auto Sales, Inc. for \$28,960.00. However, the shipping documents produced (see documents attached as Exhibit 11) show that the initial payments were made with respect to an entirely different vehicle (a 2012 GMC Acadia with VIN# ending in 1860). While the handwriting on the invoice purportedly for the sale of the 2012 GMC Acadia suggests that the funds transferred by Complainant Igor Ovchinnikov may have been applied to the 2009 GMC Acadia, the two invoices actually bear the same invoice number (6779) and the same date of August 22, 2012.

41. The title for this vehicle is also irregular in that it was issued in the name of Effect Auto Sales, Inc., and lists a date of purchase by Effect Auto Sales, Inc. of October 11, 2012, which is consistent with the fact that the vehicle at issue appears to have been delivered to Finland in October 2012. Thus, Complainant Igor Ovchinnikov purports to have purchased in August a vehicle that Global Auto Enterprise did not even possess until months later. See Exhibit 11 at pages 3 and 4.

42. The payment documents provided by Complainant Ovchinnikov raise even more

questions, because they reference a third vehicle (a GMC Acadia with VIN# ending in 5908). See Exhibit 11 at page 5. Further complicating the matter is that Complainant Ovchinnikov produced an undated statement in which he claims that he purchased the vehicle from Global Auto USA, Inc. (contrary to his allegations in the Complaint and the documents showing purchase from G Auto Sales, Inc.). See Exhibit 11 at page 6.

43. Given these numerous discrepancies, even if EUL had received these documents at the time (which it never did) how would EUL be able to rely upon such documents to determine whether Complainant Igor Ovchinnikov had any valid rights with respect to any vehicles?

44. Similarly, although Complainant Irina Rzaeva alleges in the Complaint that she purchased a 2011 Jeep Compass with VIN# ending in 2296 on October 5, 2012 from G Auto Sales, Inc., in a February 4, 2013 letter she sent to the FMC, she asserted that the vehicle was instead purchased from Global Auto USA, Inc. A copy of the February 4, 2013 letter is attached as Exhibit 12. In that same letter she also claimed that Sergey Kapustin signed the invoice through which she purchased the vehicles, but the only invoice produced by her is signed by Michael Goloverya, President of G Auto Sales, Inc. See Exhibit 12 at page 2. Adding to the confusion is the fact that the title for the vehicle lists yet another company – Effect Auto Sales, Inc. – as the owner. See Exhibit 12 at page 3. The payment details for the “purchase” of this vehicle (which show a payment being made to G Auto Sales, Inc.) state in the reference for originating bank instructions that the payment is a “GIFT.” See Exhibit 12 at page 4. Contrast this with the payment details for the purchase of the vehicle submitted by Complainant Denis Nekipelov (Exhibit 14 at page 4) discussed below.

45. Furthermore, Complainant Irina Rzaeva’s allegation that she made a trip to Kotka,

Finland on or about March 12, 2013 “to try to find her vehicle and to file (unsuccessfully) a complaint with the prosecutor’s office in Finland,” is belied by the fact that the Customs office of Kotka, Finland conducted an inspection of CarCont, Ltd. at the request of the Finnish attorneys of Global Auto Enterprise in the Spring of 2013 and were able to confirm the presence of Complainant Irina Rzaeva’s alleged vehicle (as well as Mr. Ovchinnikov’s alleged GMC Acadia). In fact the Customs office report notes that a photograph of the vehicle in question was taken on March 15, 2013. Copies of the report from the Customs office which was produced by Counsel for Complainants (and an English translation of same) are attached as Exhibit 13.

46. Complainant Denis Nekipelov alleges in the Complaint that on October 24, 2012 he purchased a vehicle (a Mercedes-Benz C300 with VIN# ending in 3295) from G Auto Sales, Inc. The title for this vehicle, however, is in an entirely unknown name (Daimler Trust). See Exhibit 14 at page 1. As with the others, Complainant Denis Nekipelov also claimed in a letter that he purchased the vehicle from Global Auto USA, Inc. and that Sergey Kapustin signed his invoice. See Exhibit 14 at page 2. The only invoice produced by Complainant Denis Nekipelov was issued by G Auto Sales, Inc. and signed by Michael Goloverya as President of that company, and the payment documents for the “purchase” of this vehicle show payment being made to G Auto Sales, Inc. See Exhibit 14 at pages 3 and 4. According to the Finnish Customs report attached as Exhibit 13, the vehicle left Finland on February 22, 2013.

47. Finally, this vehicle was explicitly provided by Effect Auto Sales, Inc. to EUL to serve as collateral for the amounts outstanding under the investment/profit sharing arrangement discussed above. A copy of an October 25, 2012 email from Effect Auto Sales, Inc. to EUL regarding this vehicle is attached as Exhibit 15.

48. Complainant Kairat Nurgazinov alleges in the Complaint that on or about

November 29, 2012 he purchased a vehicle (a Toyota Camry with VIN# ending in 6703) from G Auto Sales, Inc. However, the payment details show a payment being made with respect to an entirely different vehicle (a Toyota Camry with VIN# ending in 1494). See documents attached as Exhibit 16. The invoice number referenced in the payment details is 67936 and that reference and the issuance date of November 29, 2012 match an invoice provided by Complainant Kairat Nurgazinov, but the details for the vehicle involved are entirely different. Just as with the vehicle claimed by Complainant Igor Ovchinnikov, there are two different invoices bearing the same number and date but dealing with different vehicles. See Exhibit 16 at pages 2 and 3. There is no evidence produced by Complainant Kairat Nurgazinov that the balance owed of \$2,420.00 for purchase of the vehicle was ever paid to G Auto Sales, Inc.

49. Again the point of all this is that even if EUL had received such documents prior to the sale of the vehicles (which it never had) how could it ever have been reasonable for EUL to release a vehicle to an unknown party with no official standing based on such discrepant and conflicting documents?

50. Incidentally, according to the Finnish Customs report attached as Exhibit 13, this vehicle left Finland (i.e., was sold) on February 6, 2013. It does not appear that Complainant Kairat Nurgazinov contacted CarCont Ltd. with respect to this vehicle until February 23, 2013, at which point that vehicle had already been sold.

51. It should also be noted that none of the Complainants have produced any certificates of sale to support their alleged “purchase” of the vehicles at issue. The State of New Jersey (which is the only state in which Global Auto Enterprise was registered to sell vehicles) requires that all vehicles sold by dealers be documented by a DMV certificate of sale. Since no certificates of sale were provided by Complainants, the ownership of G Auto Sales, Inc. of the

vehicles (who is claimed to have “sold” all the vehicles to the Complainants) is itself in question.

52. In any event, as explained above, Global Auto Enterprise never sent EUL any instructions about these shipments, or otherwise identified the Complainants as its customers with respect to these shipments. More specifically Global Auto Enterprise never asked EUL to release the vehicles that Complainants now make claims with respect to.

ADDITIONAL MATTERS

53. In this section of my Affirmation, I address additional matters that provide further context for the foregoing.

54. As the Presiding Judge is well aware, this is not the first proceeding that Complainants’ counsel has brought (all unsuccessfully) against me (and EUL) in a variety of federal forums regarding the same group of vehicles (or a subset thereof). I briefly recite some of that history, and raise certain concerns arising from that history. In particular, I note, as discussed above, that Complainants’ Counsel has submitted obviously false and fraudulent shipping documents in this matter – and declined to provide electronic originals. I believe that this is consistent with, and in some cases a repeat of, his actions in the prior litigations.

A. Counsel’s First Lawsuit Against EUL Involving the Vehicles

55. In April 2013, Global Auto Enterprise, represented by Complainants’ Counsel, commenced a lawsuit against EUL and me in the United States District Court for the Eastern District of New York, captioned as 13 Civ. 2479 (the “EDNY lawsuit”).

56. In the EDNY lawsuit, Global Auto Enterprise, through Complainants’ Counsel and his colleagues, filed false and misleading declarations in which the principals of various constituents of Global Auto Enterprise denied the existence of any investment or profit sharing arrangement involving EUL. Attached as Exhibit 17 is a letter addressed by counsel for Global

Auto Enterprise to its customers, repeating the same false denials of any relationship between Global Auto Enterprise and EUL.

57. Global Auto Enterprise, through Complainants Counsel, also submitted and relied upon thirty-two fabricated documents that were made to look as if they were EUL “invoices” for freight payments relating to shipments of vehicles. Attached as Exhibit 18 are three of these forged “invoices” which were relied upon by Global Auto Enterprise in the EDNY lawsuit and which reference the vehicles as to which the Complainants now assert claims.

58. In March 2015, after having served as counsel to Global Auto Enterprise for two years with respect to the dispute over these vehicles (including the vehicles over which Complainants now assert claims with respect to), Complainants’ Counsel requested and was granted leave to withdraw as counsel for Global Auto Enterprise, on the basis of alleged non-payment of fees and that he had been “fired.”

59. It is my belief, however, that Complainants’ Counsel continued to serve behind the scenes as an attorney for Global Auto Enterprise. It is otherwise difficult to reconcile Counsel’s purported firing with the attached Exhibit 19, a September 28, 2015 email from Counsel to Mr. Kapustin offering to continue representing Global Auto Enterprise in the EDNY lawsuit on a “pro bono” basis.

60. In the end, the Judge saw through these false declarations and the fabricated EUL “invoices” and denied any relief to Global Auto Enterprise in the EDNY lawsuit. In late September 2015 all claims asserted by Global Auto Enterprise against EUL and me were dismissed, and EUL was granted a default on our counterclaim against Global Auto Enterprise.

61. These “invoices” were found in draft form on Mr. Kapustin’s personal computer and he “took the Fifth Amendment” when asked questions about how the invoices were created.

62. Remarkably, despite the foregoing, Complainants' Counsel persists in putting forth the same fabricated documents, and to deny any request for the electronic originals.

B. Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.

63. In the proceeding before this Commission docketed as *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16, Complainants' Counsel represented other complainants who asserted time barred and already-released claims against EUL and me. In an attempt to overcome the obvious time bar Complainants' Counsel there presented to the Commission and relied upon a so-called audit, which he asserted was prepared by an employee of the complainants on July 14, 2014.

64. In a related proceeding brought by EUL against Baltic Auto Shipping, Inc. and its principal in the United States District Court for the District of New Jersey (captioned as 15 Civ. 355) for breach of a prior settlement agreement, discovery showed that this claim was untrue.

65. Baltic Auto Shipping, Inc. was directed by the Judge in that case to produce the original signed audit and the original native electronic drafts of the audit. Baltic failed to do so. Instead, the principal of Baltic signed a certification asserting a "dog ate my homework" type of defense, saying that the audit was prepared on a laptop computer (from which no electronic copies were ever made or emailed) that was conveniently infected by a virus, one month after the audit was allegedly prepared, requiring reformatting of the hard drive. The laptop was then supposedly disposed of a few months later and thus conveniently not unavailable for forensic analysis. A copy of the Declaration of Andrejus Presniakovas is attached as Exhibit 20.¹

66. When Complainants' Counsel was ordered to produce the original signed copy of the audit (which he had repeatedly represented to the Court was in his office) for examination by

¹ Mr. Presniakovas had previously submitted a similar affidavit to the Commission on April 3, 2015, and a copy of that affidavit is also attached as part of Exhibit 20.

a forensic expert, he instead produced only an obvious and poor quality photocopy. A copy of the report prepared by the forensic expert establishing that only an obvious and poor quality photocopy of the audit was made available for inspection is attached as Exhibit 21.

67. When pressed to explain what had happened to the original signed copy of the audit, Complainants Counsel reversed course, denying any knowledge of its whereabouts and offering a “guess” that “it is more than likely that” the original was inadvertently sent to the FMC for filing. A copy of the “explanatory” certification from Complainants’ Counsel regarding the location of the original signed audit is attached as Exhibit 22.

68. Not satisfied by this response, the Court pressed for further explanation. Complainants’ Counsel then speculated that his assistant, whom he refused to name, had sent the original signed copy of the audit to the FMC for filing. The FMC’s Docket Activity Librarian, however, confirmed to the contrary that no such original was in the FMC’s possession. A copy of the confirmation from the FMC that all it possessed was “a photocopy based on the poor clarity of the print” is attached as Exhibit 23.

69. The Court ultimately forced Complainants’ Counsel to disclose the identity of his assistant and provide an affidavit from her (see copy attached as Exhibit 24). But when the Court then directed Complainants’ Counsel to produce his assistant for deposition regarding her “affidavit” and the fate of the original signed audit, Complainants’ Counsel did yet another about-face. He now claimed that his “assistant” was actually just an unpaid legal intern no longer employed by him, and that he had no mailing address, telephone number, or email address for her and thus, could not provide any last known contact details or produce her for the court-ordered deposition.

70. This pattern of apparent deception is starting to repeat itself in this proceeding, as

evidenced by the resurfacing of the doctored “invoices” and the other discrepancies in the shipping documents pointed out above. It is for these reasons that I have, through counsel, requested Complainants’ Counsel to provide the original and native electronic files for all the shipping documents, a request I will make formally once the discovery schedule has been set by the Presiding Officer.

C. Global Auto Enterprise has been Determined to be a Single, Fraudulent Enterprise

71. As the Presiding Officer knows from prior filings in these consolidated proceedings, Global Auto Enterprise has been held by the United States District Court for the District of New Jersey to be a single enterprise engaged in RICO violations and fraud. 13 Civ. 7152 (the “DNJ lawsuit”).

72. In the DNJ lawsuit, defrauded customers of Global Auto Enterprise obtained a \$2.3 million Judgment against Mr. Kapustin, G Auto Sales, Inc., Global Auto Sales, Inc., Effect Auto Sales, Inc., SK Imports, Inc., Global Cargo Oy, and Igor Zadorozhniy (all members of Global Auto Enterprise). The Court found them all part of a RICO conspiracy that had engaged in mail and wire fraud and “bait-and-switch” fraudulent practices and consumer fraud from at least 2008 through February 2014. A copy of the Judgment, which was issued in September 2015, is attached as Exhibit 25.²

73. The Judgment describes some of the specific racketeering conduct of Global Auto Enterprise in targeting online unsophisticated foreigners from the former Soviet Union and other countries as follows:

- Advertised and “sold” cars were not in [Global Auto Enterprise’s]

² At least two other Judgments were entered against Mr. Kapustin and other members of the Global Auto Enterprise during this same period based on the Global Auto Enterprise’s fraudulent business practices. See November 10, 2014 judgment issued by New Jersey Superior Court, Union County (in a case captioned as *DK International, Inc. v. Kapustina et al.*, L-1577-11), and June 29, 2015 decision issued by New Jersey Superior Court, Union County (in a case captioned as *Izbastin v. Global Auto, Inc. et al.*, L-0514-13), copies of which are attached as Exhibit 26.

possession and often already owned by unrelated third parties at the time of the “sale.”

- Once the customer wired the money, [Global Auto Enterprise] failed to deliver the pre-paid vehicles, and refused to issue any refunds. [Global Auto Enterprise] then offered customers different cars, for a higher price, thus extorting further payments.
- Even on the “switch” vehicles that were ultimately (sometimes after 6-8 months from first wire), sent to Global Auto Enterprise’s warehouse in Finland, Global Auto Enterprise refused to “release” vehicles and charged hidden fees, misrepresented odometer readings, withheld the information that the vehicle had been declared a “total loss” after an accident or had been flooded by hurricane Sandy (with a “salvage” title issued).

See Exhibit 25 at page 8.

74. As especially relevant here, the Judge in the DNJ lawsuit also found that Global Auto Enterprise had repeatedly “sold” the same vehicles to more than one customer:

THE COURT: Mr. Kapustin seems to think that it's okay to sell something he doesn't own and keep the proceeds. I don't know that I've ever seen more remarkable conduct or admissions in a court of law. He has sold cars that were subject to control by the Eastern District of New York [where Complainants' Counsel represented Global Auto Enterprise], and apparently selling them, selling the same car twice, and it's fully consistent with the other transactions that have been demonstrated to this Court.

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June 1, 2016

A handwritten signature in black ink, appearing to read "Michael Hitrinov", written over a horizontal line.

Michael Hitrinov

K1-1

Settlement Agreement And Mutual Release

This Settlement Agreement and Mutual Release (the "Agreement") is entered into among:

- (1) **Baltic Auto Shipping, Inc.** ("Plaintiff" or "Baltic"), a corporation organized and existing under the laws of Illinois with a principal place of business at 5811 W. 66th Street, Bedford Park, IL 60638;
- (2) **Michael Hitrinov, a/k/a Michael Khitrinov** ("Hitrinov") an adult individual and a citizen of the State of New York with a business address at 2303 Coney Island Avenue, Brooklyn, NY 11223;
- (3) **Empire United Lines Co., Inc.** ("Empire"), a closely held corporation organized and existing under the laws of the State of New York with a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223;

Baltic, Hitrinov and Empire are referred to, from time to time, as a Party or as Parties. Baltic may also be referred to, from time to time, as Plaintiff and Hitrinov and Empire may also be referred to, from time to time, as Defendants.

WHEREAS, on or about November 23, 2011, Baltic filed a Verified Complaint against Empire, Michael Hitrinov a/k/a Michael Khitrinov, Mediterranean Shipping Company (USA), Inc. ("MSC") and John Does # 1 through 5 in the United States District Court for the District of New Jersey (the "Action") and gave notice of its intent to seek, on an emergency basis, a Temporary Restraining Order enjoining the seizure of approximately 167 containers of cargo shipped by Baltic through Empire and MSC;

WHEREAS, Defendants deny the allegations made by Baltic in the Action;

WHEREAS, without admitting any of the allegations of fact or law asserted in the Action, the Parties are desirous of amicably settling their differences and disputes without the expense or burden of further litigation.

NOW THEREFORE, for good and valuable consideration, the sufficiency of which is hereby acknowledged, and intending to be legally bound, the Parties agree as follows:

1. Recitals. The foregoing recitals are hereby incorporated by reference and are made part of this Agreement.
2. Release of Arrived Containers. In consideration for a payment of \$8,000 made on Friday, November 25, 2011, receipt of which is hereby acknowledged, Empire shall immediately release the twenty-three (23) containers identified in Exhibit "A" to Baltic and/or its designee. The Parties agree that Baltic shall be responsible for all storage and demurrage charges, if any, with respect to these twenty-three (23) containers.

M.H.

A.P.

3. Release of Remaining Containers. Any and all other containers shipped by Baltic through Empire and MSC including, without limitation, the one hundred and thirty-eight (138) containers identified in Exhibit "B", shall be released by Empire to Baltic and/or its designee upon arrival and payment by Baltic of the sums specified in Exhibit "B". To the extent that Empire causes a delay in the release of the containers identified in Exhibit "B" and this results the accrual of storage or demurrage charges, Empire will be responsible for payment of such charges, otherwise such charges will be the responsibility of Baltic.

4. No Other Charges. With the exception of the foregoing, Baltic shall not be responsible for any other charges associated with the containers identified in Exhibits "A" and "B".

5. Mutual General Releases. With the exception of any obligations imposed by this Agreement, and in consideration of the undertakings set forth herein, and for other valuable consideration, receipt of which is hereby acknowledged, the Parties hereby release, remise, and discharge each other and their officers, directors, attorneys, employees, agents, heirs, executors, administrators, successors, and assigns from any and all manner of claims, actions, causes of actions, demands, obligations, liens, rights, damages, costs, expenses, and/or compensation of any nature whatsoever that each party now has or may have had on account of or in any way growing out of shipping charges related to Baltic's cargo and any claims of damages related to the delay in releasing said cargo from the beginning of time up to the date of this release.

6. Discontinuance of Action. Within five (5) days from the Date of Execution, Baltic shall cause the Action to be withdrawn and dismissed, with prejudice, as against all parties including, without limitation, MSC.

7. Representations and Warranties. As a material inducement to the entry into and the execution of this agreement, the Parties represent and warrant as follows:

- (a) This Agreement, when executed, shall constitute the legal, valid and binding obligation of Parties, enforceable in accordance with its terms.
- (b) The Parties have had the opportunity to consult with and be advised by counsel, and have done so, and have had the opportunity to make whatever investigation or inquiry each may have deemed necessary or desirable in connection with the subject matter of this Agreement prior to its execution. The Parties have voluntarily and knowingly entered into this Agreement with full knowledge and understanding of its contents.
- (c) Except as specified herein, the Parties have not sold, assigned, conveyed or otherwise transferred any portion of their interest in any of the released claims in this Agreement.

8. Disclaimer of Liability. It is expressly understood and agreed by and among the Parties that this Agreement represents the settlement and compromise of disputed claims and that

M. H.

A. P.

the payment of the consideration mentioned in this Agreement is not to be construed as either an admission of liability on the part of the Parties or an admission by either of the Parties herein that the claims asserted have any legal merit

9. Governing Law. This Agreement has been negotiated, and is entered into, in the State of New Jersey. Regardless of any state, foreign country, or jurisdiction in which any dispute or issue regarding any provision of this document may later arise or be asserted or otherwise be at issue, all provisions of this document and the effect and application of all provisions of this document shall be construed and interpreted in accordance with New Jersey law. The parties agree that this document shall be interpreted and enforced under the statutes and common law of New Jersey regardless of the issue which may arise and regardless of the location where any interpretation or application of this document shall occur. This document shall be interpreted and enforced under the statutes and common law of New Jersey without the application of any "choice of law" legal principles which would otherwise result in the application of any law of any other jurisdiction.

10. Enforcement. In addition to any other remedies available at law or in equity, in the event of a breach or default by any party of any obligation imposed by this Agreement, the court shall be authorized to award reasonable attorney's fees and costs as against the defaulting party. In addition, the Court will retain jurisdiction over the enforcement of this Agreement.

11. Further Assurances. The parties shall execute and/or deliver any and all documents and give such instructions to their agents, designees and counterparties as may be necessary for the effectuation of the terms and conditions of this Agreement.

12. Severability. The provisions of this Agreement are severable, and if any provision is held to be unenforceable or invalid, it shall not affect the validity or enforceability of any other provision.

13. Successors in Interest. This Agreement contains the entire Agreement and understanding between the Parties with regard to the matters set forth in the Agreement and will be binding on and inure to the benefit of the executors, administrators, personal representatives, heirs, successors and assigns of each Party.

14. Advice of Counsel. In entering into this Agreement, the releasing parties represent that they have relied on the legal advice of their respective counsel who is the counsel of their own choice, and on the terms of this Agreement have been completely read and explained by their attorney, and that those terms are fully understood and voluntarily expressed in this Agreement.

15. Contract Interpretation. This Agreement shall be deemed as having been jointly drafted by the releasing parties and shall not be construed in favor of or against either of the Parties but will be given its plain meaning.

16. Entire Agreement. This Agreement constitutes the entire understanding between the parties with regard to all disputes related to the matters set forth in the Agreement. There are

no other understandings or agreements, verbal or otherwise, between the parties except as expressly set forth in this Agreement.

17. Modification. This Agreement may not be modified by any party except upon in writing executed by both parties.

18. Non-Waiver. The waiver of either party of any breach of this Agreement by the other party shall not be deemed a waiver of the same, or any other provision of this Agreement, nor shall any action by either party inconsistent with their rights which exist to that party under this Agreement be considered to be a wavier of that right or any other rights existing under this Agreement.

19. Counterparts. This Agreement may be executed in one or more counterparts, each of which shall be deemed an original, but all of which together shall constitute the same instrument. Facsimile signatures shall be deemed as effective as originals.

20. Effective Date. The Agreement shall be deemed executed and effective when signed by the last party.

[SIGNATURES ON NEXT PAGE]

M.H.

A.P.

IN WITNESS WHEREOF, the parties have hereunto set their hand and seal this _____
day of _____, 2011.

BALTIC AUTO SHIPPING, INC.

Date: 11 / 29 / 2011

By: 

Title: PRESIDENT

Printed Name: ANDREJUS PRESNIAKOVAS

EMPIRE UNITED LINES CO. INC.

Date: 11 / 29 / 2011

By: Michael Hetrine KH(1)

Title: president

Printed Name: Michael Hetrine

MICHAEL HITRINOV

A/K/A MICHAEL KHITRINOV

Date: 11 / 29 / 2011

Michael Hetrine KH-1(2)

EXHIBIT "A"

1	038EUL479838	MSCU8311411
2	038EUL451407	CAIU8675002
3	038EUL451166	MSCU9836410
4	038EUL475739	MSCU8385029
5	038EUL475742	MEDU8410426
6	038EUL447499	MEDU8730564
7	038EUL455564	TGHU7710085
8	038eul454130	DFSU6834642
9	038EUL455566	MSCU7031490
10	038EUL455567	MEDU8102017
11	038eul455620	TCNU6006125
12	038eul455624	MSCU7186594
13	038eul455629	MEDU8612854
14	038eul455628	MSCU7217843
15	038eul455631	MSCU9402917
16	038eul455632	MSCU8766323
17	038eul486065	MSCU8278289
18	038eul486067	MSCU9802615
19	038eul486068	MEDU8320277
20	038eul486069	MEDU8065103
21	038eul486071	MSCU8284846
22	038eul489198	MEDU8760764
23	038eul489126	MEDU8218630

M.H.

A.P.

EXHIBIT "B"

24	038EUL451412	MEDU8876878	\$1,950.00
25	038CHI461866	MSCU7755160	\$2,700.00
26	038EUL461945	GLDU7388250	\$2,450.00
27	038EUL461960	GLDU7389045	\$2,450.00
28	038EUL454025	MSCU9000230	\$1,950.00
29	038eul461999	MSCU8711758	\$2,700.00
30	038EUL454026	MSCU7495551	\$1,950.00
31	038eul461998	MSCU8832298	\$2,700.00
32	038EUL455513	MSCU9872757	\$1,950.00
33	038EUL455514	MSCU9877867	\$1,950.00
34	038eul455516	MSCU9212223	\$2,700.00
35	038EUL454219	CAXU9153447	\$3,100.00
36	038EUL454221	INKU6711625	\$3,100.00
37	038EUL454220	TCNU8730314	\$3,100.00
38	038EUL475727	MSCU8425610	\$2,550.00
39	038EUL454222	TCNU8182268	\$3,100.00
40	038EUL454223	MSCU9181914	\$3,100.00
41	038EUL451170	TCLU5468060	\$3,100.00
42	038EUL454225	TRIU9749841	\$3,100.00
43	038EUL454226	FCIU8794102	\$3,100.00
44	038EUL454227	MEDU8883542	\$3,100.00
45	038EUL454228	MSCU7025481	\$3,100.00
46	038EUL461961	MSCU9191408	\$2,450.00
47	038EUL451801	MEDU8937192	\$2,450.00
48	038EUL451800	TCNU7279588	\$2,890.00
49	038EUL455515	GLDU0790170	\$1,950.00
50	038EUL455664	MEDU7026801	\$3,100.00
51	038EUL455662	TCLU5516488	\$3,100.00
52	038EUL455663	TRLU5365890	\$3,100.00
53	038EUL455900	TGHU7670510	\$1,950.00
54	038EUL455754	CARU9948875	\$1,950.00
55	038EUL455753	MEDU8982210	\$1,950.00
56	038EUL455666	TCNU7876650	\$3,100.00
57	038EUL455751	TGHU8642560	\$1,950.00
58	038EUL455752	CRXU9923901	\$1,950.00
59	038EUL461944	GATU8431512	\$2,450.00
60	038EUL455898	TGHU8496379	\$1,950.00
61	038eul486055	MSCU9955656	\$2,700.00
62	038EUL455899	MSCU8634184	\$1,950.00
63	038EUL486017	MSCU8506460	\$2,215.00
64	038EUL486193	MSCU9067228	\$1,800.00
65	038EUL486386	TRLU5782569	\$1,950.00
66	038EUL486415	MEDU8198451	\$2,350.00
67	038EUL455669	MSCU7642539	\$3,100.00
68	038EUL455670	GLDU7504154	\$3,100.00
69	038EUL455671	MEDU8948134	\$3,100.00

70	038EUL455668	MSCU9306024	\$3,100.00
71	038EUL486079	CARU9786244	\$3,100.00
72	038EUL486192	MSCU9390483	\$1,800.00
73	038EUL486194	FSCU6925922	\$1,800.00
74	038EUL486337	INKU6429632	\$1,950.00
75	038EUL486080	FSCU6185019	\$3,100.00
76	038EUL486190	MSCU8478100	\$2,450.00
77	038EUL486389	TRLU5754905	\$1,950.00
78	038eul486070	MSCU7653533	\$2,600.00
79	038eul487788	TGHU7524157	\$2,700.00
80	038eul487787	MSCU7185535	\$2,700.00
81	038eul486072	MSCU7098343	\$2,600.00
82	038EUL475960	MSCU9200217	\$1,800.00
83	038EUL475959	TRIU9717891	\$1,800.00
84	038EUL475958	MEDU8892400	\$1,800.00
85	038EUL486388	MEDU8938563	\$1,950.00
86	038eul488574	MSCU7639031	\$2,700.00
87	038EUL486082	MSCU7878400	\$3,100.00
88	038EUL486083	MEDU8558413	\$3,100.00
89	038EUL486085	TGHU8305750	\$3,100.00
90	038EUL486084	TRIU9279199	\$3,100.00
91	038EUL486087	MEDU8503072	\$3,100.00
92	038EUL486086	MEDU8501819	\$3,100.00
93	038eul486073	MSCU7109622	\$2,600.00
94	038EUL486387	MSCU8791054	\$1,950.00
95	038EUL475961	DFSU6524950	\$1,800.00
96	038EUL475968	TRLU6974838	\$1,950.00
97	038EUL488509	INKU6735186	\$1,950.00
98	038eul486075	MSCU8270138	\$2,600.00
99	038eul486074	MSCU8620576	\$2,600.00
100	038eul486076	MSCU7217170	\$2,600.00
101	038EUL475963	MSCU9293436	\$1,800.00
102	038EUL475979	GLDU7152752	\$1,430.00
103	038EUL475962	CARU9764060	\$1,800.00
104	038EUL475964	MSCU8874971	\$1,800.00
105	038eul487758	MSCU8105302	\$2,600.00
106	038EUL475965	TCLU5462592	\$1,800.00
107	038EUL475966	MSCU8314663	\$1,800.00
108	038eul487756	MSCU9194726	\$2,600.00
109	038EUL475969	TCKU9289301	\$1,950.00
110	038eul487755	MEDU8699598	\$2,550.00
111	038EUL488510	GLDU0754059	\$1,950.00
112	038EUL475967	MSCU8708590	\$1,800.00
113	038EUL489096	GATU8567068	\$3,100.00
114	038EUL489095	MEDU8917909	\$3,100.00
115	038EUL489105	MSCU8214540	\$2,450.00
116	038EUL489097	TGHU8736000	\$3,100.00
117	038eul487757	MEDU8321000	\$2,600.00

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118	038eul487759	MSCU9260005	\$2,600.00
119	038EUL489199	MSCU8084719	\$2,350.00
120	038EUL488743	MSCU7017341	\$1,950.00
121	038eul486078	MSCU7087570	\$2,600.00
122	038EUL489207	MSCU8000549	\$1,800.00
123	038EUL488744	INKU6564102	\$1,950.00
124	038eul488620	MSCU8032192	\$2,600.00
125	038EUL475970	MSCU7575826	\$1,950.00
126	038eul489243	MEDU8030658	\$2,700.00
127	038eul489128	MEDU8317036	\$2,600.00
128	038EUL475971	MSCU9498740	\$1,950.00
129	038eul489127	MEDU8496435	\$2,600.00
130	038EUL489208	TCLU5763554	\$1,800.00
131	038eul489129	MEDU8079745	\$2,600.00
132	038EUL489210	FSCU6011151	\$1,800.00
133	038EUL489211	CRXU9026724	\$1,800.00
134	038eul489132	MEDU8011299	\$2,600.00
135	038EUL489212	TRLU5707288	\$1,800.00
136	038EUL488745	TGHU8639171	\$1,950.00
137	038eul489131	MSCU9837078	\$2,600.00
138	038EUL489213	MSCU7238255	\$1,800.00
139	038eul489130	MEDU8691323	\$2,600.00
140	038eul489133	MSCU7140612	\$2,600.00
141	038EUL493881	MSCU8871632	\$1,950.00
142	038EUL489214	TGHU7394388	\$1,800.00
143	038EUL495130	MEDU8242702	\$1,950.00
144	038eul495068	MSCU7867371	\$2,700.00
145	038eul495069	MEDU7022452	\$2,700.00
146	038EUL493574	MSCU9207510	\$2,550.00
147	038EUL489100	CLHU9068791	\$3,100.00
148	038EUL489098	CLHU9124977	\$3,100.00
149	038EUL489099	MSCU8151864	\$3,100.00
150	038EUL489101	MEDU8185639	\$3,100.00
151	038EUL489102	GESU4248345	\$3,100.00
152	038EUL493882	MSCU7504519	\$1,950.00
153	038EUL495129	TCLU5495488	\$1,950.00
154	038EUL489215	MSCU8192293	\$1,800.00
155	038EUL489103	MSCU9009197	\$3,100.00
156	038EUL489104	FSCU6922076	\$3,100.00
157	038EUL495065	MSCU7168477	\$3,100.00
158	038EUL489106	MSCU7189891	\$2,450.00
159	038EUL495066	MSCU9685247	\$3,100.00
160	038EUL493962	MSCU7080679	\$2,450.00
161	038eul495173	MSCU9360600	\$2,700.00
162	038EUL493883	MEDU8353250	\$1,950.00

M.H.

A.P.

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UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

-----X
GLOBAL AUTO, INC., G AUTO SALES,
INC., and EFFECT AUTO SALES, INC.,

Plaintiffs,

No. 13-CV-2479 (SLT)(RER)

-against t-

MICHAEL HITRINOV, a/k/a MICHAEL
KHITRINOV, EMPIRE UNITED LINES, CO.
INC., MEDITERRANEAN SHIPPING
COMPANY (USA), INC., and JOHN DOES 1
THROUGH 5,

Defendants.

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**DECLARATION OF MICHAEL HITRINOV
IN RESPONSE TO ORDER TO SHOW CAUSE AND IN
OPPOSITION TO REQUEST FOR PRELIMINARY INJUNCTION**

I, Michael Hitrinov, submit this Declaration and the accompanying exhibits in response to the Order to Show Cause signed by this Court on May 8, 2013 and in opposition to the plaintiffs' request for a preliminary injunction concerning certain used vehicles that are the subject of this dispute.

1. I am President of Empire United Lines Co., Inc. ("EUL"), principally a transportation services company that is involved in freight forwarding, warehousing and the shipping of containers and other cargoes on non-owned vessels to various destinations around the world.

2. EUL, a New York corporation formed in 1993, has a principal place of business in Brooklyn, New York. Since 1999, EUL has met all requirements to be licensed as a non-vessel-operating common carrier by the Federal Maritime Commission.

I. Background and Parties' Agreement

3. In early September 2010, I was contacted by Sergey Kapustin whom I had known from

previous business dealings as the owner and individual in control, together with his wife Irina Kapustina, of Global Auto Sales, Effect Auto Sales and G Auto Sales, the plaintiffs in this action. The purpose of Mr. Kapustin's call was to inquire whether EUL wanted to invest in the ownership of some cars that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a car inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital which Mr. Kapustin would then use to buy vehicles in the U.S. for re-sale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the re-sales of these vehicles.

4. In 2010, Kapustin and I initially discussed a profit-sharing arrangement in which EUL would share in profits from the overseas sale of the vehicles acquired by Global with EUL's funds. However, Mr. Kapustin himself proposed as an alternative that EUL instead be paid a fixed return on its investment of 1.5% per month as its share of the anticipated profits from the re-sale of the vehicles acquired through EUL's investment ("the Investment Vehicles").

5. I was still concerned, however, that EUL needed a way to secure its investment in the Investment Vehicles in the event Kapustin/plaintiffs failed or refused to repay EUL. To address these concerns, Mr. Kapustin and I agreed that EUL would be entitled to a right of possession in any Investment Vehicle (i.e. any vehicle acquired by Kapustin/plaintiffs through the EUL investment) until such time as it was released to a third-party buyer with the consent of EUL. In theory, Kapustin/plaintiffs would sell a vehicle, repay EUL its equity interest in the vehicle and then direct EUL to release the vehicle to final buyer. Since the Investment Vehicles were shipped out of EUL's designated facility in Elizabeth, NJ and into the Carcont OY storage facility in Kotka, Finland, I felt reasonably comfortable that EUL could retain possession and

control of the Investment Vehicles in the event Kapustin/plaintiffs breached the agreement or failed or refused to repay EUL.

6. It was further agreed that EUL would be given the documents of title for each vehicle. This assured that no Investment Vehicle could be released without EUL's consent (which would have entailed repayment of EUL's 60% equity stake in the particular vehicle or replenishment, with EUL's consent of the total inventory value). I note that Mr. Kapustin's declaration at paragraph 5 confirms that the title documents for the Investment Vehicles were delivered by plaintiffs to EUL with each vehicle.

II. Transportation and Storage

7. In addition to the financing agreement with EUL, Mr. Kapustin and plaintiffs requested that EUL arrange for the ocean transport to Finland of the Investment Vehicles, and other vehicles not covered by the parties' agreement.

8. Although EUL is a licensed transportation intermediary, it did not issue separate shipping documents (e.g. bills of lading) for shipment of the Investment Vehicles covered by the parties' agreement. Instead, EUL agreed to charge a flat rate of \$750 for all vehicles, including the Investment Vehicles, whenever transportation was arranged by EUL. There is no dispute that this is in fact how the parties operated going forward and performed under their agreement.

9. To my knowledge, Mr. Kapustin has never objected or protested this arrangement and, in fact, I believe he viewed it as advantageous to his companies. Overall, between 2010 and 2012, EUL shipped over 680 vehicles on behalf of Kapustin/plaintiffs without any complaint.

10. In regard to freight, I would like to point out that the documents produced by the plaintiffs in their complaint as "tariffs" are not EUL documents even though they purport to be on EUL letterhead. Please see paragraph 36 of the complaint. It is not clear who created these

“tariffs,” for what purpose they were created or why plaintiffs have suggested to this Court that these “tariffs” are EUL’s documents. I can confirm without any hesitation that they are not EUL documents. Attached to this declaration as Exhibit “1” are EUL’s actual freight invoices to the plaintiffs which at Kapustin’s/plaintiffs’ request, were sent to only one email address: account@globalautousa.com. It is my understanding that this email address is used by Kapustin and all the plaintiffs for accounting and operational purposes.

11. It was also contemplated by the parties that, from time-to-time, the Investment Vehicles released for shipment would have to be stored in an EUL-designated warehouse in Elizabeth, NJ prior to shipping. For Investment Vehicles cleared for transport to Finland, EUL generally did not impose a storage charge. However, where Kapustin/plaintiffs had delivered a car to the warehouse and stored it there without ultimately shipping it, EUL did occasionally impose a nominal charge although the actual amount was largely in EUL’s discretion.

12. This arrangement was less than ideal for EUL, because Kapustin/plaintiffs began to abuse the goodwill that EUL was extending in waiving a storage fee for Investment Vehicles ultimately shipped overseas. For example, the plaintiffs used the Elizabeth, NJ warehouse like a retail showroom in which potential buyers could view/inspect the vehicles stored there. Further, Kapustin appeared to be using the warehouse for long-term storage of vehicles rather than a temporary stopover before the vehicles were shipped overseas. In addition, Kapustin/plaintiffs issued multiple and often burdensome instructions for the handling and release of vehicles stored in the Elizabeth, NJ warehouse, forcing EUL to incur administrative and handling expenses for which it was not being compensated.

13. Therefore, on December 18, 2012, I notified Kapustin/plaintiffs by an email to Svetlana (account@globalautousa.com) that “effectively immediately all the release for cars in a NJ

warehouse is subject to \$300 handling fees and \$10/day storage.” These storage charges make up a portion of EUL’s counterclaim against the plaintiffs, as discussed below. Attached to this declaration as Exhibit “2” is my email to plaintiffs dated December 18, 2012.

III. Initial Transaction Between the Parties

14. Our first transaction under this investment arrangement occurred in mid-September 2010 concerning two cars identified by Mr. Kapustin as: (i) a 2008 Lexus LX 570 and (ii) a black 2005 Hummer H-2 Limo. See the correspondence sent to EUL by Svetlana on behalf of Mr. Kapustin dated September 14, 20 and 28, 2010 attached to this declaration as Exhibit “3”. It is my understanding that Svetlana handled accounting and operational issues for Mr. Kapustin’s various companies, including all the plaintiffs. As can be seen, Svetlana offers the vehicles to EUL for investment and later confirms that EUL may hold certain containers as security pending EUL’s receipt of original certificates of title.

15. EUL did agree to buy 60 % of the ownership in those two vehicles for \$45,000. This was confirmed in my email to Svetlana on September 20, 2010, to which she responds in the previous exhibit. As can be seen, my email confirms in this first transaction that the vehicles acquired with this investment “MUST be currently NOT sold to any customers” and that EUL would “hold the Titles.” Svetlana consented to these terms and agreed that, pending transfer of the funds and EUL’s receipt of the titles, EUL could hold previously shipped containers as a security for the \$45,000 payment by EUL for 60% ownership of the two vehicles. See my correspondence dated September 20, 2010, attached to this declaration as Exhibit “4” and the preceding exhibit.

16. Mr. Kapustin and I also agreed that if and when these two vehicles were sold, EUL would have the option to invest in additional vehicles on the same terms; i.e. that EUL would advance

additional sums to Kapustin/plaintiffs to acquire a 60% interest in the Investment Vehicles and that EUL would receive a fixed return of 1.5% per month, and would retain possession and control of the vehicles and the underlying title documents as security for the funds advanced to Kapustin/plaintiffs.

IV. Additional Investments in Vehicles by EUL

17. Because our initial transaction went well, on fairly short order Mr. Kapustin offered EUL additional Investment Vehicles. For example, in October 2010, Kapustin/plaintiffs had a vehicle inventory valued at approximately \$214,000. Mr. Kapustin proposed selling to EUL 60% ownership. EUL agreed and remitted a total of \$125,000 to an account designated by Mr. Kapustin between October 5 and October 13, 2010.

18. As was the case with the first, two-vehicle transaction, EUL's investment was to be secured by a 60% interest in the Investment Vehicles; i.e. those vehicles in Kapustin's/plaintiffs' vehicle inventory financed by EUL's investment.

19. From the beginning, EUL insisted that at any given time, 60% of the total value of the Investment Vehicles be sufficient to secure the amount of the outstanding principal due EUL. Therefore, if Kapustin/plaintiffs wanted to release a vehicle to a third-party buyer, EUL could refuse to release these vehicles if Kapustin/plaintiffs did not repay to EUL the proportionate amount of principal or if the remaining value of the vehicle inventory fell below the 60% parameter. In lieu of making a principal payment, Kapustin/plaintiffs could add additional vehicles to their overall inventory with EUL's consent to achieve the 60% parameter, and in fact often did so.

20. By December 2011, EUL had wired a total of \$450,120 to accounts designated by Kapustin in the name of Global Auto Inc. as follows:

9/20/10	\$45,000
10/5/10	\$25,000
10/13/10	\$100,000
5/12/11	\$160,000
12/13/11	\$120,000
12/13/11	\$120

Attached to this declaration as Exhibit “5” is documentation of the six payments made to Kapustin/plaintiffs. The first three payments were made by direct deposit and the last three payments were made by wire transfer to Global Auto, Inc., Kapustin’s designated account. As can be seen, my understanding of the purpose of these payments is contained in the transaction descriptions; e.g. “Car Joint Investment With Fixed P” by which I meant my 60% investment in the vehicles and the fixed profit of 1.5% agreed to by the parties.

V. Balance Spreadsheets and Release of Vehicles

21. In practice, the parties’ arrangement operated in the following way. The total value of the Investment Vehicles was estimated and details were maintained in a spreadsheet format by EUL and provided to Kapustin/plaintiffs on a regular basis. The purpose of the spreadsheets was to schedule all the Investment Vehicles with their values so as to assure that 60% of the total value was sufficient to secure the amount of the outstanding principal due EUL.

22. I attach to my declaration as Exhibit “6” a series of emails ranging from January 2011 through October 2012, many with spreadsheet attachments, relating to the Balance Spreadsheets exchanged between the parties. Although the attached emails are not the totality of the correspondence and Balance Spreadsheets exchanged between the parties, Exhibit “6” provides a good overview of these exchanges and the manner in which they operated over the course of several years. Balance Spreadsheets were usually sent to the plaintiffs through Svetlana at account@globalautousa.com.

23. As can be seen from Exhibit “6”, a typical balance spreadsheet lists the estimated total

value of the Investment Vehicles, calculates the 60% parameter and compares that result to the amount of the outstanding principal due EUL. If 60% of the total inventory value exceeded the amount of the outstanding principal, then Kapustin/plaintiffs had a credit in their favor and would be entitled to release vehicles up to the amount of that credit.

24. If, on the other hand, 60% of the value of the total inventory was not sufficient to cover the outstanding principal due EUL, then Kapustin/plaintiffs could not release particular vehicles unless (i) they repaid a proportionate amount of the outstanding principal to EUL with EUL's consent, or (ii) they added additional Investment Vehicles to the total inventory (and thus increased the total inventory value). Details relating to inventory valuation, the 60% parameter and the "balance" available for release are clearly set out in the dozens of Balance Spreadsheets that were exchanged between the parties.

25. I attach to my declaration as Exhibit "7" a series of emails which demonstrate how, in practice, the release of vehicles was arranged between the parties based on the value of the Investment Vehicles and the details set out in the Balance Spreadsheets. As can be seen, Svetlana, on behalf of Kapustin's/plaintiffs makes repeated references to what is "available" for release based on any "balance" in plaintiffs' favor.

26. The sole purpose of this arrangement was to assure that plaintiffs' total vehicle inventory had sufficient value to cover the outstanding principal due EUL. There is no other reason that Kapustin/plaintiffs would have agreed to allow EUL to control the release of Investment Vehicles.

27. Respectfully, I find it very surprising that the plaintiffs have concealed this arrangement from the Court in their application and have failed to mention in any way the parties' reliance on the Balance Spreadsheets and Kapustin/plaintiffs' full acceptance of this arrangement.

28. I am also extremely surprised to see Kapustin/plaintiffs now seeking to hide behind different corporations in order to avoid plaintiffs' own liability for the outstanding principal amount due EUL and for other charges. However, as can be seen from Exhibits "6" and "7", at no time did Svetlana make any distinction between the individual plaintiffs when asking for "our balance" information and releases of cars. All the Investment Vehicles were treated as being under the Kapustin umbrella. At no time has Mr. Kapustin or any of the plaintiffs requested that EUL provide separate Balance Spreadsheets to the individual plaintiffs.

29. I also note that the plaintiffs have not actually produced any documentation in this action or in support of their request for a preliminary injunction to demonstrate that they are the lawful owners of the Investment Vehicles in Finland or Elizabeth, NJ.

30. I wish to point out that not all vehicles in Kapustin's/plaintiffs' inventory were Investment Vehicles. In many instances, Kapustin/plaintiffs delivered vehicles to EUL for shipment which were "not subject to investment." This is a clear and unambiguous admission by Kapustin/plaintiffs of EUL's "investment" in particular vehicles. Incidentally, when vehicles "not subject to investment" were delivered to EUL for shipment, EUL acted only in arranging for ocean transportation and there was no issue of releasing these "non-investment vehicles." Attached to this declaration as Exhibit "8" are several emails from Kapustin/plaintiffs (Svetlana) designating "non-investment" vehicles.

VI. Termination of Agreement

31. By late 2012 (November – December), I became increasingly concerned about Kapustin's/plaintiffs' ability and even willingness to abide by our agreement. There were a number of reasons for my concerns. First, I began receiving inquiries from Kapustin/plaintiffs about adding Investment Vehicles to the balance spreadsheets even though it was unclear

whether Kapustin/plaintiffs actually owned these vehicles. Second, the parties were increasingly disagreeing on vehicle valuations, with Kapustin/plaintiffs arguing for higher valuations to increase the “balance” available for release of cars. Third, Kapustin/plaintiffs were increasingly in arrears on payment of the \$750/vehicle shipping charges. However, my main concern was that Kapustin was trying to sell the Investment Vehicles behind EUL’s back; i.e. without repaying any portion of the principal due EUL and without notice to the buyers of EUL’s equity interest in those vehicles.

32. On December 27, 2012, I notified Kapustin (at the account@globalautousa.com address) that the relationship was becoming untenable because of Kapustin’s/plaintiffs’ actions and demanded that Kapustin/plaintiffs repay all amounts due EUL, including unpaid principal, “in 30 da[y]s from today. We will not extend that date.” I repeated that 30-day demand later that day. Attached to this declaration as Exhibit “9” are my December 27, 2012 notices to Kapustin/plaintiffs.

33. On January 16, 2013, I was informed by the warehouse facility in Kotka, Finland (Carcont OY) that Kapustin was encouraging third parties in Finland to claim the Investment Vehicles without regard to EUL’s remaining security interest in those same vehicles. I also obtained a copy of an email that Kapustin/plaintiffs had distributed to third parties in Finland and elsewhere, directing them to contact Carcont and suggesting that they take legal action to recover their vehicle from the facility. I became extremely concerned over these actions because they were in complete disregard of our agreement (i.e. no releases without payment of proportionate principal or replenishment of inventory value) and appeared to be an effort to coerce EUL to release vehicles under color of local Finnish law. Attached to this declaration as Exhibit “10” is a translation of the email sent out by Kapustin/plaintiffs directing buyers to contact Carcont to

collect their vehicles.

34. I then confronted Kapustin by telephone on or about January 20, 2013. During that telephone conversation, Kapustin confirmed that he no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Mr. Kapustin made no attempt during this conversation to make a distinction between the individual plaintiffs and it was clear to me that he himself made no distinction between the companies and that he spoke on behalf of all three of them.

35. Of equal concern to me was Mr. Kapustin's claim during this telephone call that "he" had actually sold all the Investment Vehicles (again, he did not make any distinction among the individual plaintiffs). If this was true, Kapustin/plaintiffs had presumably been paid in full by buyers of the vehicles and now were seeking to wrest these vehicles from EUL's possession and control without repaying any principal to EUL from the proceeds of sale. In other words, Kapustin/plaintiffs had collected EUL's 60% interest in those vehicles but had no intention of paying that over to EUL as the parties' agreement required.

36. Consequently, on January 28, 2013, I sent an email to Kapustin/plaintiffs (at account@globalautousa.com) and to Kapustin's wife and business partner, Irina Kapustina, expressing my concern that Kapustin/plaintiffs were taking actions "detrimental to our jointly owned assets without my knowledge and consent." I also requested that Kapustin/plaintiffs cease any further actions "which may cause irreparable damages" to the parties and proposed an amicable resolution. Attached to this declaration as Exhibit "11" is a copy of my January 28, 2013 email to Kapustin/plaintiffs.

37. EUL did not receive any payment of principal from Kapustin/plaintiffs after my

December 27th demand for payment in full within 30 days.

VII. Plaintiffs' Admission of EUL's Ownership Interest in the Investment Vehicles

38. On February 6, 2013, Irina Kapustina wrote to me in connection with our dispute and my demand for payment in full of all outstanding principal due EUL. In that correspondence, Ms. Kapustina makes several admissions that appear to directly contradict the declaration she has submitted to the Court in support of plaintiffs' application. In her February 6th email, Ms. Kapustina acknowledges EUL's demand for payment in full. She also acknowledges that EUL "no longer wants to have an ownership in the cars inventory." Finally, she acknowledges EUL's interest ("you have at your disposal") in the vehicle inventory.

39. However, in her declaration Ms. Kapustina makes no reference to EUL's "ownership" or the fact that the vehicle inventory was at EUL's "disposal". She also continues to repeat the fiction that the plaintiffs were separate and distinct corporations when in fact she spoke for all the plaintiffs and did not make any distinction between the plaintiffs in her February 6th correspondence. Attached to this declaration as Exhibit "12" is Ms. Kapustina's email of February 6th with the English translation.

VIII. Foreclosure on Kotka Investment Vehicles

40. Given Kapustin's repudiation of any further performance of our agreement, and fearing that Kapustin/plaintiffs were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that they be removed from that location and ultimately sold to third party buyers to satisfy plaintiffs' indebtedness to EUL. In fact, the sale of all but four units (2 vehicles, a boat, and a boat trailer) has now taken place to buyers in CIS countries, with the proceeds to be applied to the outstanding principal due EUL and any additional amounts due EUL for storage. Contrary to the allegations in paragraph 63 of the

complaint, EUL has not contacted plaintiff's "customers" concerning the purchase of foreclosed cars.

41. The net proceeds that EUL may realize from the sale is unclear at this time. Many of the Kotka Investment Vehicles required extensive repairs, the cost of which the buyers would like EUL to absorb. In addition, EUL ultimately had to pay customs duties associated with the import of vehicles into the destination countries. Therefore, until all the sale-related expenses incurred by EUL can be determined, it will be very difficult to determine what net proceeds EUL will realize. However, in my opinion, the net proceeds will fall far short of the outstanding principal due EUL of \$422,018.00, plus other amounts due and payable to EUL from Kapustin/ plaintiffs.

IX. Elizabeth, NJ Investment Vehicles

42. To the best of my knowledge, there are currently 16 vehicles located at the warehouse facility in Elizabeth, NJ. EUL is not in possession of any title documents for these vehicles and has not been paid for the transportation of these vehicles. However, EUL does claim a possessory interest in these vehicles in the event the net proceeds of the vehicles previously located in Kotka are not sufficient to pay the amounts due EUL (more fully detailed in the discussion on EUL's counterclaim below).

43. Although plaintiffs are seeking this Court's intervention concerning the Elizabeth, NJ vehicles, plaintiffs have not produced any evidence that they are the rightful owners of these vehicles and they have certainly not produced any documents of title for these vehicles. It would be highly inequitable to compel EUL to release the Elizabeth vehicles, in disregard of EUL's possessory and equity interest in those vehicles, based only on plaintiffs' unsupported allegations of ownership.

44. Plaintiffs and the Kapustins have had other legal problems concerning the vehicles in Elizabeth, NJ and their businesses. On or about February 21, 2013, the Elizabeth warehouse was served with a writ of execution to enforce a \$216,340.34 judgment against plaintiffs Global Auto and Effect Auto Sales. A copy of the Writ of Execution is attached to my declaration as Exhibit “13.” In November 2010, plaintiff Global Auto, Inc. signed a Final Consent Judgment with the New Jersey Attorney General in which Global was required to refrain from “unfair or deceptive acts or practices in the conduct of its business” in New Jersey. The Consent Judgment identifies multiple deceptive business practices by Global, including creating “fictitious” co-signers. A copy of the Final Consent Judgment is attached to my declaration as Exhibit “14.”

X. Plaintiffs are Closely Controlled by Mr. Kapustin

45. Plaintiffs have purposely tried to muddy the waters as to which of the three plaintiffs played what particular role in the underlying events, including which, if any, of the three plaintiffs had an interest in the Investment Vehicles. As I have already mentioned, at no time did either Svetlana or Mr. Kapustin or Irina Kapustina make any distinction among the individual plaintiffs in the dozens of emails and Balance Spreadsheets exchanged between the parties. I also received personal assurances from Mr. Kapustin, his wife Irina Kapustina and Svetlana that all involved companies were owned and controlled by Mr. Kapustin and his family and that the companies acted interchangeably.

XI. Plaintiffs’ Allegations Concerning Unrelated Matters

46. Plaintiffs have made reference to a number of unrelated legal matters in which, plaintiffs allege, EUL “attempted to engage in a scheme to defraud.” However, in all of these other matters there were only allegations of fraud none of which were ever proven or admitted by EUL. I have enough experience in the legal system to know that lawyers for plaintiffs are able to

make many different allegations—even of fraud—fairly liberally and that many of these allegations are never actually proven.

47. In any event, all of the actions mentioned in the complaint were either voluntarily dismissed or settled without a finding or admission of liability on the part of EUL or myself. I note that plaintiffs have not produced the underlying settlement documents or otherwise advised the court of the ultimate disposition of the matters mentioned in the complaint.

XII. EUL's Counterclaim

48. As discussed above, EUL's investment with Kapustin/plaintiffs totaled \$450,120. Of this amount, plaintiffs have only re-paid principal of \$28,202, as follows:

\$3,000.00	6/16/12
\$8,500.00	10/29/12
\$10,602.00	12/12/12
\$3500.00	12/13/12
\$1,500.00	10/04/12
\$1,000.00	10/24/12

I wish to point out in this regard that, with the exception of the first payment on June 6, 2012 (which was paid by plaintiff Global Auto, Inc.), all other payments were made by plaintiff G Auto Sales. This demonstrates again that plaintiffs dealt with EUL interchangeably and did not make a distinction among them when dealing with EUL's investment. Attached to my declaration as Exhibit "15" is EUL's bank's confirmation of the above payments. I wish to also note that, with one exception, all payments for transport of the Investment Vehicles were made by plaintiff G Auto Sales. This is also confirmed by Exhibit C-4 of plaintiffs' complaint.

49. Therefore, there is currently due and owing EUL the unpaid principal amount of \$422,018. Moreover, plaintiffs have failed to pay EUL's 1.5% return on investment for several months, which will be included in EUL's counterclaim.

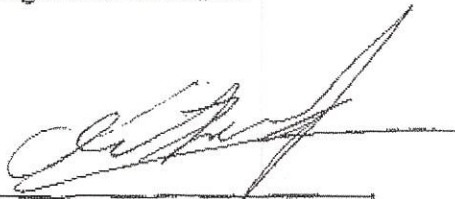
50. In addition, plaintiffs are liable for storage and handling charges for all Investment

Vehicles after December 18, 2012 totaling \$31,360.00. (See paragraphs 11 - 13 above and Exh. "2"). Attached as Exhibit "16" to this declaration is a summary of the handling and storage charges due EUL from the plaintiffs.

51. EUL also claims damages from plaintiffs for storage charges in Kotka, Finland. Normally, the final buyer of the vehicles is required to pay storage charges from the time the vehicles are delivered to Carcont OY until picked up by the final buyer. However, in light of Kapustin's/plaintiffs' repudiation and efforts to wrest control of the vehicles from EUL, EUL was required to be paid Carcont OY's storage fees before removing the vehicles from that facility for eventual sale. Attached to this declaration as Exhibit "17" are invoices totaling €12,480 for storage charges paid by EUL to Carcont OY from the date of unloading the vehicles at that facility until January 31, 2013.

I declare under penalty of perjury that the foregoing is true and correct.

Executed: May 23, 2013



Michael Hitrinov

K1-3

BALTIC AUTO SHIPPING, INC.

V.

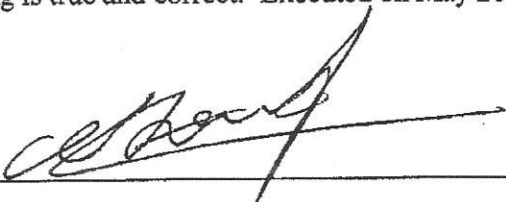
RESPONDENTS.

) DOCKET NO. 14-16

1. I am a Respondent and President of Respondent Empire United Lines Co., Inc. (“EUL”), and I make this Certification in support of Respondents’ Motion for Partial Summary Decision Dismissing Complaint for Reparations on the Basis of (1) the Claim is Barred by the Statute of Limitations; and (2) the Claim is Barred by the Settlement Agreement and Release.
2. EUL is a non-vessel-operating common carrier by water for hire regulated by the Federal Maritime Commission under the Shipping Act of 1984, as amended.

3. I write in response to the Affidavit of Andrejus Presniakovas (April 30, 2015) ("Presniakovas Aff."), submitted in connection with Complainant's Brief in Opposition to Respondents' Motion for Partial Summary Decision, and in particular the claims made in ¶¶ 53-56, and the shipments identified in Presniakovas Aff. Ex. U.
4. I have searched the files of Respondent Empire United Lines and found the email exchange attached as Exhibit 1.
5. Please note that on November 25, 2011 (9:04 AM) I advised Complainant, through Ms Laura Supronas, that the five shipments – the same as are identified in Presniakovas Affidavit Exhibit U – were NOT Complainant's shipments, rather they belonged to a company named ME Baltic.
6. As a result, Complainant sent a revised spreadsheet that the Complainant and Respondent used to settle up freight charges (November 25, 2011; 10:54 AM) with these shipments removed from the spreadsheet. See Exhibit 1, with the attached spreadsheet.
7. As a further result, as they were not Complainant's shipments, they were not included in the Settlement Agreement and Mutual Release.

I certify under penalty of perjury under the laws of the United States of America that the foregoing is true and correct. Executed on May 26, 2015.



Michael Hitrinov

K1-4

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV, ET AL

VERIFIED ANSWER OF RESPONDENTS
EMPIRE UNITED LINE AND MICHAEL HITRINOV

I. Complainant

1. Lack sufficient information to admit or deny.
2. Lack sufficient information to admit or deny.
3. Lack sufficient information to admit or deny.

II. Respondents

4. Admit, except deny that Mr. Hitrinov has a principal place of business -- it is EUL that maintains the business at that location.
5. The Shipping Act as codified does not define the term "person."
6. Admit except as to undefined term "shipping company."
7. Admit except that "closely held" is not a legal entity description and EUL no longer has a place of business at 52 Butler Street in Elizabeth, NJ..
8. Admit
9. Deny except as to CarCont's address.

10. Deny
11. Deny
12. Admit.
13. Admit as to Mr. Hitrinov being President of EUL, otherwise deny.
14. Admit
15. Deny that Mr. Hitrinov exercises day-to-day control.
16. Admit
17. Deny.
18. Deny.
19. Deny
20. Deny
21. Deny (these are Ocean Freight Forwarder activities).
22. Deny

III. Jurisdiction

23. Deny. Also, the FMC has no jurisdiction under COGSA.
24. Admit that Complainants are seeking reparations, but deny that EUL or Hitrinov violated any of the referenced sections or that any such violations caused injury to Complainants.
25. Admit that EUL is a licensed NVOCC; deny that it falls under the jurisdiction of the FMC for purposes of this proceeding.

IV. Statement of Facts and Matters Complained of

26. Deny that EUL or Hitrinov are engaged in the business of exporting. As to sentence two, admit that EUL arranged for transportation by ocean going vessel of vehicles as to which Complainants now assert claims, but denies that they were Complainants' vehicles.
27. Admit that EUL is in the business of providing OTI services, that it is an NVOCC and that it arranges as an NVOCC for ocean transportation of vehicles, but otherwise denies..
28. Deny.
29. Admit that EUL, as an NVOCC, contracts with customers, and that any NVOCC transportation by definition includes an ocean (or Great Lakes) leg. Otherwise deny.
30. Lacks information sufficient to admit or deny what NVOCCs other than EUL may do. It is EUL's understanding that NVOCCs may issue house bills of lading, and that NVOCCs by definition do not operate the ocean vessels on which the cargo moves.
31. Admit that NVOCCs may buy space from ocean common carriers and that they may receive a bill of lading from the ocean common carrier, which may be neither the owner nor the charterer of the vessel. Otherwise deny.
32. Deny. Under the FMC's regulations, NVOCCs may also enter into NSA and NRA contracts with shippers, neither of which involve tariff rates.
33. Admit that there EUL and MSC are parties to a service contract, and that MSC is not currently a party to this proceeding.
34. Admit that EUL was able to obtain container space on MSC vessels pursuant to the service contract and that the automobiles regarding which Complainants raise claims may have been in such containers, but deny that EUL arranges space for vehicles or that they were Complainants' automobiles..

35. Lack sufficient information to admit or deny.
36. Admit that EUL did provide transportation services to Kotka, Finland for vehicles delivered to EUL by members of the Kapustin Global Auto Group where CarCont was the consignee on the MSC bill of lading, but otherwise lacks sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
37. Lack sufficient information to admit or deny.
38. Lack sufficient information to admit or deny.
39. Lack sufficient information to admit or deny.
40. Lack sufficient information to admit or deny.
41. Admit, except deny that Mr. Ovchinnikov was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect
42. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
43. Lack sufficient information to admit or deny
44. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
45. Denied insofar as the statement purported to show payment is not an EUL document, but a fabrication.
46. Deny.
47. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.

48. Lack sufficient information to admit or deny.
49. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
50. Lack sufficient information to admit or deny.
51. Lack sufficient information to admit or deny.
52. Lack sufficient information to admit or deny
53. Lack sufficient information to admit or deny
54. Admit, except deny that Ms. Rzaeva was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect, or Effect/G-Auto.
55. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
56. Lack sufficient information to admit or deny
57. Lack sufficient information to admit or deny
58. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
59. Deny insofar as the statement purported to show payment is not an EUL document, but a fabrication.
60. Deny
61. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect.
62. Lack sufficient information to admit or deny.
63. Deny.

64. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
65. Lack sufficient information to admit or deny.
66. Lack sufficient information to admit or deny.
67. Lack sufficient information to admit or deny.
68. Admit, except deny that Mr. Nekipelov was identified on the Title, and note that the titles were provided for reasons in addition to Customs clearance. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
69. Admit that a container containing the car was loaded on board, but deny that the car was loaded on board and that Mr. Hitrinov had any ownership interest in the CarCont facility.
70. Lack sufficient information to admit or deny.
71. Deny insofar as the statement purported to show payment is not an EUL document, but a fabrication.
72. Deny
73. Lack sufficient information to admit or deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
74. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.
75. Deny that EUL handled any shipments on behalf of Complainants.
76. Deny
77. Deny
78. Deny
79. Deny

80. Deny

V. Violations of Shipping Act

A. Deny

B. Deny

C. Deny

D. Deny

E. Deny. Deny here and throughout that there was any such entity as G-Auto/Effect or Effect/G-Auto.

VI. Injury to Complainants

A. Deny that Respondents violated the Shipping Act or that Complainants were injured by any such violations.

AFFIRMATIVE DEFENSES

1. The FMC lacks subject matter jurisdiction over the Complaint.
2. The FMC lacks personal jurisdiction over Mr. Hitrinov as he is not a regulated entity
3. The FMC lacks personal jurisdiction over Respondents due to insufficient and improper service of process.
4. Complainants have failed to state a claim upon which relief may be granted.
5. Complainants' claims for reparations are barred by the applicable statute of limitations.

6. Complainants' claims for reparations are barred because they were not proximately caused by any alleged violations of the Shipping Act.
7. Complainants' calculations of damage are incorrect and unsupportable.

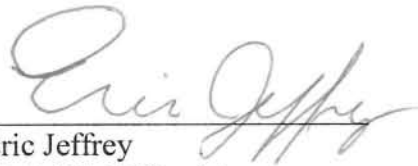
RESPONDENTS' REQUEST FOR RELIEF

1. Complainants take nothing by way of this action;
2. The Complaint be dismissed, with prejudice;
3. Respondents be awarded attorney's fees and such other relief as may be just and proper.

STATEMENT ON HEARING

Respondents believe at this time that no hearing is necessary.

Respectfully submitted,



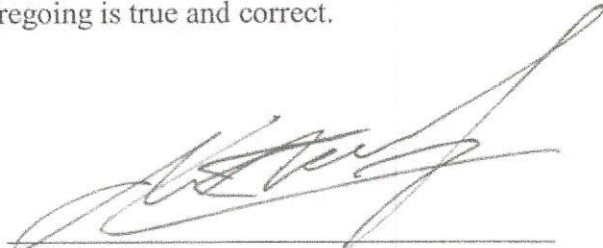
Eric Jeffrey
Harini N. Kidambi
Nixon Peabody LLP
799 9th Street, N.W., Suite 500
Washington, D.C. 20001
202-585-8000

VERIFICATION

Respondent Michael Hitrinov, on behalf of himself and Respondent Empire United Lines, Co., Inc., declares that the foregoing Verified Answer is true to the best of his knowledge, information and belief.

I declare under penalty of perjury that the foregoing is true and correct.

Date: May 19, 2016



Michael Hitrinov.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing Verified Answer via electronic and first-class mail to the following:

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Marcus.nussbaum@gmail.com

Seth M. Katz, Esq.
P.O. Box 245599
Brooklyn, NY 11224

Dated at Washington, DC, this 23rd day of May, 2016.

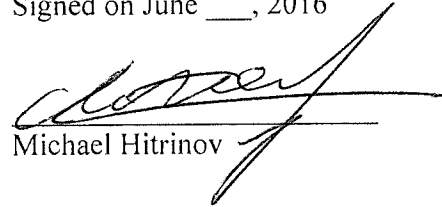

Eric Jeffrey
Counsel for Respondents

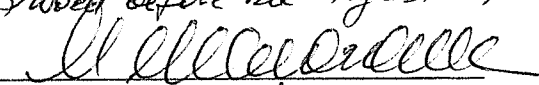
APPENDIX “C”

See pages 7-8 and 65 of the transcript of the October 27, 2014 hearing which can be accessed as Docket Entry No. 135 in the DNJ lawsuit (13 Civ. 7152).

The foregoing is true and correct to the best of my knowledge under penalty of perjury.

Signed on June __, 2016


Michael Hitrinov

Sworn before me August 10, 2016

NOTARY PUBLIC

MARVARID ULMASOVA Commissioner of Deeds, City of New York No. 2-13347 Cert. Filed in Kings County Commission Expires on _____
